

Listing Statement



KURWITU VENTURES LIMITED
LISTING STATEMENT
OCTOBER - 2014



Standard & Mutual

NOMINATED ADVISOR



Central Depository & Settlement Corporation Limited

REGISTRAR



LEGAL ADVISOR



REPORTING ACCOUNTANT



KURWITU VENTURES LIMITED

LISTING STATEMENT

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VISION

Turning grains of ideas into crops
of investments - To be a pioneer in
providing sharia compliant investment
products



1.0 IMPORTANT NOTICE

THIS DOCUMENT CONTAINS IMPORTANT INFORMATION REGARDING THE LISTING OF KURWITU VENTURES ON THE NSE. IT CONTAINS LEGAL STANDING AND INVESTMENT OBJECTIVES OF THE COMPANY. IT IS IMPORTANT FOR INVESTORS TO CAREFULLY READ THROUGH THE DOCUMENT PRIOR TO MAKING ANY INVESTMENT DECISIONS ON KURWITU VENTURES LIMITED SHARES.



The listing Statement includes particulars given in compliance with the requirements of the Companies Act (Cap. 486), the requirements of the Capital Markets Act (Cap 485A), The Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations 2002, the rules and regulations under these acts, as well as the rules of the Nairobi Securities Exchange ("NSE").

This Listing Statement is issued by Kurwitu Ventures Limited ("Kurwitu Ventures") and has been prepared in accordance with the Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations 2002 in connection with the proposed listing of the whole of its existing issued share capital ("Shares") on the Official List of the NSE by way of introduction ("Introduction") in the Growth Enterprise Market Segment ("GEMS").

Application has been made to the NSE and approval has been granted for the listing of the shares of the Issuer on the NSE. Subject to compliance with the NSE listing Rules, the NSE will admit the shares of the Issuer for listing in the GEMS. As a matter of policy, the NSE and the Capital Markets Authority ("CMA") assume no responsibility for the correctness of any statements or opinions made, or reports contained in this Listing Memorandum. Approval of the listing is not taken as an indication of the merits of the Company or of the shares.

Should anyone have doubts about the contents of these statements, they are advised to consult with their professional advisors such as stockbrokers, investment banks or any authorized investment professional.

The Directors of the Issuer, whose names appear on page 14 of this Listing Memorandum, accept responsibility of the information contained in it. To their best knowledge, the Directors believe all material facts of the Issuer are contained in this document.

A copy of this Listing Statement together with the documents required by section 43 of the Companies Act (Cap.486) has been delivered to the Registrar of Companies in Nairobi for registration. Shares of Kurwitu Ventures will be available to the public through the NSE upon listing. Upon listing, the sale or transfer of shares will be subject to the rules of the NSE and the CDSC. The register will be maintained by the Central Depositories and Settlement Corporation ("The Registrar").

This Listing Statement does not constitute an offer or invitation to any person to purchase new shares of the Issuer. No new shares are being offered to the public through the listing process.

Legal Advisor's Opinion

Mahmoud & Gitau Advocates, the legal advisors, have given and not withdrawn their written consent to the inclusion of their legal opinion in this Listing Statement (See Appendix 1 of this Listing Statement).

Reporting Accountant's Report

Obwanga and Associates, the reporting accountants, have given and not withdrawn their consent to have their report included in this Listing Memorandum. There are no forward looking statements or pro forma accounts included in their report (See Appendix 2 of this listing statement)

This Listing Memorandum is dated 15 October, 2014



2.0 GLOSSARY OF TERMS AND DEFINITIONS

Unless otherwise stated and as the context allows, the words in the first column have the meaning stated opposite them in the second column, throughout this Listing Statement, its appendices and its enclosures. Words in the singular include the plural and vice versa, words signifying one gender include the other gender and references to a person include references to juristic persons and associations of persons.

Subject	Definition
Admission	The admission of the Shares to GEMS becoming effective in accordance with the NSE Rules
Articles	The Articles of Association of Kurwitu Ventures Limited
Board	The Board of Directors of the Company;
Bps	Represents movement in interest rates whereby 1% change = 100 basis points, and 0.01% = 1 basis point
Brownfield Project	Purchase or lease of existing production facilities to launch a new production activity
CAGR	Compounded Annual Growth Rate
Capital Markets Legislation	Means (a) the Capital Markets Act, Chapter 485A of the Laws of Kenya and all subsidiary legislation and rules and guidelines promulgated thereunder (b) the rules of the NSE (c) Companies Act and (d) any law applicable to capital markets in Kenya
CDS	The Central Depository System, a computer system operated by CDSC in accordance with the Central Depositories Act (2000) that facilitates holding of securities in electronic accounts thereby facilitating faster and easier processing of transactions at the NSE
CDS	Account A securities account opened with CDSC for the purpose of recording the deposit of and dealings in immobilized or dematerialized securities
CDSC	The Central Depository and Settlement Corporation Limited a company incorporated in Kenya, licensed to operate a Central Depository by the Capital Markets Authority
CMA	The Capital Markets Authority in Kenya, a statutory body incorporated under the Capital Markets Act and includes its successor or assigns
Company or Issuer	Kurwitu Ventures Limited
Companies Act	The Companies Act (Chapter 486 of the Laws of Kenya)
Directors or the Board Directors	Directors or the Board Directors of the Company whose names appear on page 14 of this Listing Statement
DPS	Dividend per Share
EPS	Earnings Per Share

ETF	Exchange Traded Fund
EPZ	Export Processing Zone
Existing Shares	The Issued and fully paid up Ordinary Shares of the Company as at the date of this Listing
Executive Director	A member of the Board of Directors who is an employee of the Company
GDP	Gross Domestic Product
GEMS	The Growth Enterprise Market Segment of the Nairobi Securities Exchange
GOK	Government of Kenya
IAS or IFRS	International Accounting Standards (also referred to as International Financial Reporting Standards)
Greenfield Project	A new business venture or project that includes construction of new operational facilities from the ground up.
ICT	Information and Communication Technology
Issuer	The Company
KSHS, Kshs or KES	Kenya Shillings or the currency of the Republic of Kenya
Listing	Admission of the Shares to the GEMS
Kurwitu Ventures	The Issuer
NAV	Net Asset Value
NSE	The Nairobi Securities Exchange
NGO	Non Governmental Organization
Non-Executive Director	A member of the Board of Directors of the Company who is not an employee
Listing Price	1,250 Kshs
PE	Price-Earnings Ratio
Par Value	Nominal value of the Company's shares, which is KES 100 per share
Registrar	Share Registrar Services, the share registrar appointed in connection with the Listing whose name and address appears on page 12 (Corporate Information) of this Listing Statement
Shares Ordinary	Shares of Kshs 100/- each in the issued share capital of the Company



3.0 CHAIRMAN'S STATEMENT

Dear Shareholder,

Kurwitu Ventures is a pioneer in its chosen field as a provider of sharia compliant investment products. It is the first company listed on the NSE with a focus on attracting Islamic investors into the capital markets.

We strive to offer our clients premier investment products, whilst adhering to good corporate governance and sustainability as the core of our company's values and vision. Although the financial products are Islamic Sharia compliant, Kurwitu Ventures does not intend to deter potential investors and welcomes all investors interested in being part of developing this new investment frontier.

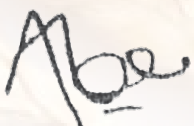
As a hybrid of both private equity and venture capital investments, Kurwitu Ventures will invest in opportunities that provide a reasonable amount of management control. Kurwitu Ventures will invest in all sectors of the economy, but with a key focus on the agricultural sector, which is a sector that employs the majority of Kenyans. Agriculture is the top foreign exchange earner in the economy, yet it is also plagued with several structural inefficiencies. Addressing these inefficiencies could provide superior returns. While the key investment focus is on agriculture, Kurwitu Ventures will also invest in non-agriculture ventures that meet the key Sharia Compliance test and have the potential to post attractive returns on capital.

Kurwitu may also provide investment products jointly with others as a "pass-through". Such products may not feature on the company's balance sheet and would be in the form of asset backed securities, real estate investment trusts and investment notes. We have a social objective of broadening and deepening the capital markets by introducing innovative products to meet various and diverse goals of sharia compliant investors.

As part of our mission Kurwitu Ventures has outlined the following key strategic goals and objectives:

- a) **Leading Investment Vehicle:** To become the number one investment vehicle by being client-driven and consistently delivering the most cost-efficient sharia compliant products and services to our clients;
- b) **Trusted Intermediary:** To be the trusted investment intermediary of sharia compliant products. Kurwitu Ventures intends to do so by adhering to prudence, integrity and fiduciary responsibility;
- c) **Innovation:** To introduce innovative products to the capital markets;
- d) **High Returns:** To give investors a competitive return on their investment given the specific investment risk; and e) **Good Governance:** To adopt strong systems of internal governance and controls whilst embracing a culture of innovation

Yours faithfully,



ABDIKADIR MOHAMED

4.0 CORPORATE INFORMATION

Kurwitu Ventures Limited, Nairobi, Kenya P.O. BOX 105028 - 00101 Telephone: +254(020) 2399958 / +254 704106948	
Mr Abdirahman Abdillahi, Executive Director Kurwitu Ventures Limited E-mail: abdillahi@kurwituventures.com	Aden, Abdikhani Ali: Investment Associate Kurwitu Ventures Limited E-mail: abdikhani@kurwituventures.com

4.1 Company History

Kurwitu Ventures was incorporated as private limited liability company on the 8th of September 2006 and was issued with a certificate of Incorporation (C.128146). The original Share Capital was One hundred thousand (100,000) divided into One thousand (1,000) shares of shillings one hundred (100) each. At incorporation, the Registered Office was L.R 209/2527/4, Muindi Mbingu Street, Kantaria House.

The name Kurwitu is borrowed from an ancient but now extinct settlement that existed in present day Kilifi County towards the seaside of the villages of Shariani and Vipingo. Kurwitu beach is located close to the ancient site of this old settlement.

The Company was originally formed to provide Investment Consulting Services but in 2012, the Board of Directors decided to review the strategic plan of the company, which resulted in the injection of fresh capital into the company and change of strategic focus to become a vehicle for Sharia Compliant Investments. In 2013 the Board of Directors decided to focus on restructuring the company and prepare it for a listing on the Nairobi Securities Exchange. Hence all effort was invested in the restructuring process and no revenue was posted to the company books in 2013.

4.2 Discussion on Future Operations

Disclaimer

The opinions and projections found in this section reflect the opinion of the Directors of Kurwitu Ventures as of the date of this Listing Statement and are subject to change without notice. This section is neither intended nor should be considered as an offer or solicitation, or as the basis for any contract, for purchase of any security, loan or other financial instrument issued by Kurwitu Ventures. Neither the Nominated Advisor nor Kurwitu Ventures nor any of their affiliates and/or their directors, officers, employees shall in any way be responsible or liable for any losses or damages whatsoever which any person may suffer or incur as a result of acting or otherwise relying upon anything stated or inferred in or omitted from this presentation.

Overview

Kurwitu Ventures is an investment vehicle with the objective of delivering sharia compliant capital market products to the investing public. While Kurwitu Ventures has a bias towards investments in agriculture, it may invest across all the other sectors based on the attractiveness of existing opportunities and its capacity to absorb these investments.

The three main product lines that Kurwitu Ventures focuses on are:

- Early Stage Equity Investments comprising of “greenfield” and “brownfield” projects;
- Pass-through Products; and
- Investments Consultancy.

I. Early Stage Equity Investments

Greenfield projects are start-up projects with no history of operations, and depend, on feasibility studies to assess their potential and generally carry a higher risk than long established businesses. Kurwitu Ventures’ focus is to raise funds for initial “greenfield” projects through private placements with High Net Worth (“HNW”) Individuals. Each “greenfield” project would be set up as a Special Purpose Vehicle (“SPV”) in its own right. The private placement path allows Kurwitu Ventures to invest in high-risk projects effectively with informed investors who can adequately assess and evaluate this high-risk equity class. The SPV would be listed at an appropriate time based on achievement of pre-specified performance targets and regulatory compliance.

Brownfield projects generally have a proven market, production quantity and product price and may be justified as medium risk investments. Such projects may raise funds through a public offer if they can be justified as “brownfield” ventures. By and large, the objective of the fund raising would be to enable an expansion program and not a sale of shares by the existing shareholders.

Kurwitu would charge a reasonable management fee for structuring and supervising such equity investments.

II. Pass-through Products

Pass through products may take different formats and structures depending on specific needs and circumstances of the entity requiring the funds.

Typically, pass-through products would be used to fund associates or subsidiaries of Kurwitu Ventures seeking large amounts of capital to acquire specific assets for expansion purposes. Kurwitu Ventures would aim to raise the funds from the market to buy the assets and lease them to the associate/subsidiary company. Funds raised would be held by a custody bank to be released specifically for purchase of the

assets as specified in agreement between Kurwitu Ventures and the associate/subsidiary company. Lease payments by the associate/subsidiary company would be made to the custody bank and paid directly to securities holders on record in the securities registry. Kurwitu Ventures would charge a management fee for the origination and management of the passthrough products.

There are no existing sharia compliant products in the Kenyan Capital Market hence Kurwitu would have to create such products. Such products would take the form of Asset Backed Securities (“ABS”), Real Estate Investment Products such as Real Estate Investment Trusts (“REITs”) or structured products that fit the legal definition of a corporate paper such as Preference Shares or Corporate Bonds where there is a tax advantage in such a structure.

The sharia compliant products would have a structure and character different from existing regulated securities in order to meet the acceptable criteria for sharia compliance. However, existing regulations provide for the CMA to approve a new unregulated product as long it meets certain conditions.

III. Investment Consultancy

The directors of Kurwitu Ventures have extensive experience in advising corporate investors and raising funds. In this regard, Kurwitu Ventures frequently receives requests to provide advice on various investment strategies and opportunities from a diversity of investors. Particularly, restructuring of conventional funding into sharia compliant funding is a focus for Kurwitu Ventures to generate consulting revenues in the next three years.

As elaborated in the investment strategy, Kurwitu Ventures will make investment decisions using a disciplined methodology.

Revenues will be generated from dividends and/or capital gains from investee companies and management fees where applicable.

The growth of the income stream will be largely influenced by the quick development of investment products and acceptance thereof by the investing public.

PROFORMA PROFIT AND LOSS STATEMENTS, 2014 - 2017 IN KSHS

INCOME STATEMENT

	12/31/11	12/31/12	12/31/13	12/31/14	12/31/15	12/31/16	12/31/17
Revenue Sources							
Investment Mangement	-	-	-	-	-	20,000,000	50,000,000
Pass through instruments	-	-	-	-	18,000,000	40,000,000	60,000,000
Corporate Finance (Advisory)	1,819,008	1,255,000	-	-	8,000,000	12,000,000	18,000,000
Total Revenue	1,819,008	1,255,000	-	-	26,000,000	72,000,000	128,000,000
Consultancy Fees	607,150	415,000	622,900	1,900,000	2,900,000	3,900,000	4,900,000
Pipeline development fees	-	-	-	12,000,000	15,000,000	20,000,000	25,000,000
Administrative Costs	527,630	371,581	38,561	3,000,000	15,000,000	20,000,000	25,000,000
Finance Charges	8,812	15,450	6,500	-	-	-	-
Establishment Expenses	563,617	378,653	222,700	1,633,191	2,543,518	2,471,649	3,413,458
Operating Income	111,799	74,316	(890,661)	(18,533,191)	(9,443,518)	25,628,351	69,686,542
Loss from Disposal of Assets	-	-	(274,219)	-	-	-	-
Net Profit Before Taxes	111,799	74,316	(1,164,880)	(18,533,191)	(9,443,518)	25,628,351	69,686,542
(Deferred Tax)/Current Tax	33,540	22,295	(349,464)	(5,559,957)	(2,833,055)	7,688,505	20,905,963
Net profit (loss) after tax	78,259	52,021	(815,416)	(12,973,234)	(6,610,463)	17,939,846	48,780,580

KURWITU VENTURES' PRO FORMA BALANCE SHEET

Source: Kurwitu Ventures

	12/31/11	12/31/12	12/31/13	12/31/14	12/31/15	12/31/16	12/31/17
ASSETS							
NON CURRENT ASSETS							
Plant Property and Equipment	534,365	414,888	118,218	3,085,028	2,641,510	2,269,861	1,956,403
Freehold Land	-	-	102,000,000	102,000,000	102,000,000	102,000,000	102,000,000
TOTAL NON CURRENT ASSETS	534,365	414,888	102,118,218	105,085,028	104,641,510	104,269,861	103,956,403
CURRENT ASSETS							
Cash and Cash Equivalents	96,032	72,450	5,031,617	18,352,858	6,476,146	25,818,612	67,747,442
Receivables	106,512	85,450	-	-	4,273,973	11,835,616	21,041,096
Deferred Tax Asset	-	-	349,465	5,909,421	8,742,477	1,053,971	-
Directors Current Account	3,614,106	3,288,731	-	-	-	-	-
TOTAL CURRENT ASSETS	3,816,650	3,446,631	5,381,082	24,262,279	19,492,595	38,708,199	88,788,538
TOTAL ASSETS (Ksh.)	4,351,015	3,861,519	107,499,300	129,347,307	124,134,105	142,978,060	192,744,941
LIABILITIES AND SHAREHOLDER EQUITY							
NON CURRENT LIABILITIES	-	-	-	-	-	-	-
CURRENT LIABILITIES							
Trade Payables	965,120	415,000	70,411	1,479,452	2,876,712	3,780,822	4,767,123
Tax Payables	13,680	22,283	-	-	-	-	-
TOTAL CURRENT LIABILITIES	978,800	437,283	70,411	1,479,452	2,876,712	3,780,822	4,767,123
TOTAL LIABILITIES	978,800	437,283	70,411	1,479,452	2,876,712	3,780,822	4,767,123
SHAREHOLDER FUNDS							
Paid Up Share Capital Accounts (100,000@100)	100,000	100,000	7,840,000	12,500,000	12,500,000	12,500,000	12,500,000
Share premium Account	-	-	97,080,070	125,832,270	125,832,270	125,832,270	125,832,270
Reserves	3,272,215	3,324,236	2,508,819	(10,464,415)	(17,074,877)	864,969	49,645,548
SHAREHOLDER FUNDS	3,372,215	3,424,236	107,428,889	127,867,855	121,257,393	139,197,239	187,977,818
TOTAL LIABILITIES AND SHAREHOLDER FUNDS	4,351,015	3,861,519	107,499,300	129,347,307	124,134,105	142,978,061	192,744,941

KURWITU VENTURES PRO FORMA CASH FLOW

Source: Kurwitu Ventures

CASHFLOW STATEMENT

	12/31/11	12/31/12	12/31/13	12/31/14	12/31/15	12/31/16	12/31/17
Profit (loss) before Taxes	111,799	74,316	(1,164,880)	(18,533,191)	(9,443,518)	25,628,351	69,686,542
Depreciation (amortization)	157,354	119,465	22,461	533,191	443,518	371,649	313,458
Loss of Disposal	-	-	274,219	-	-	-	-
	269,153	193,781	(868,200)	(18,000,000)	(9,000,000)	26,000,000	70,000,000
Changes in Working Capital							
(Increase)/Decrease in Account Receivable	2,740,012	21,062	85,450	-	(4,273,973)	(7,561,644)	(9,205,479)
Increase/(Decrease) in Account Payable	672,546	(550,120)	(344,589)	1,409,041	1,397,260	904,110	986,301
Total Changes in Working Capital	3,681,711	(335,277)	(1,127,339)	(16,590,959)	(11,876,712)	19,342,466	61,780,822
Tax Payable	416,000	13,680	22,295	-	-	-	19,851,991
Cashflow from Operations	3,265,711	(348,957)	(1,149,634)	(16,590,959)	(11,876,712)	19,342,466	41,928,831
Purchase of tangible and Intangible Assets	-	-	(102,000,000)	(3,500,000)	-	-	-
Investment in Subsidiary and Associates	-	-	-	-	-	-	-
Cashflow From Investment Activities	-	-	(102,000,000)	(3,500,000)	-	-	-
Share Capital Account	-	-	7,740,000	4,660,000	-	-	-
Share premium Account	-	-	97,080,070	28,752,200	-	-	-
Directors Capital injection (Drawing)	(3,614,106)	325,375	3,288,731	-	-	-	-
Cashflow from Financing Activity	(3,614,106)	325,375	108,108,801	33,412,200	-	-	-
Changes in Cash and Cash Equivalent	(348,395)	(23,582)	4,959,167	13,321,241	(11,876,712)	19,342,466	41,928,831

KURWITU VENTURES NOTES PRO FORMA STATEMENT

Source: Kurwitu Ventures

Narrative to the Pro Forma Statements

Revenue Sources

The company forecasts to generate revenue through three sources as shown below;

- Early Stage Equity Investment: KV aims to invest Ksh 100,000,000 in the year 2015, Ksh 150,000,000 in the year 2016, and Ksh 200,000,000 in 2017. The investment funds will be raised through private placement with a target return of 20%.
- Pass through Instruments: The forecasts to work on three pass-through investments in 2015, which are aimed to increase by three every year. Initial deal size is targeted at Ksh 400,000,000 in 2015 with a target success fee of 1.5%, which is inline with the current industry benchmark.
- Corporate Finance Advisory: The target of the company is to work on two corporate finance advisory mandates in 2015, and increase by one deal per annum for the years 2016 and 2017 with a target minimum fee of Ksh 4,000,000 per mandate.

The table below shows the revenue streams and expected return from the three different sources that KV will pursue.

	12/31/11	12/31/12	12/31/13	12/31/14	12/31/15	12/31/16	12/31/17
Investment Management							
Capital Outlay investment in Associates	-	-	-	-	100,000,000	150,000,000	200,000,000
Expected Return from the investments	20%	20%	20%	20%	20%	20%	20%
Total Revenue from Investments in Associates	-	-	-	-	-	20,000,000	50,000,000
Pass Through Instruments							
Number of Deals brought to the company	-	-	-	-	3	6	9
Average size of the deals	-	-	-	-	400,000,000	444,444,445	444,444,444
Total value of the deals	-	-	-	-	1,200,000,000	2,666,666,670	4,000,000,000
Average success fee	1.50%	1.50%	1.50%	1.50%	1.50%	1.50%	1.50%
Total Revenue from Pass through products	-	-	-	-	18,000,000	40,000,000	60,000,000
Corporate Advisory							
Number of Advisory work	-	-	-	-	2	3	4
Minimum fee for Advisory work	-	-	-	4,000,000	4,000,000	4,000,000	4,500,000
Total revenue from Advisory work	-	-	-	-	8,000,000	12,000,000	18,000,000

Expenditure Lines

- **Consultancy Fees:** The Company plans to minimize the overhead cost by using external consultant for deal development and origination.
- **Pipeline Development Cost:** Pipeline development costs include expenses related to the feasibility studies, due diligence and costs related to origination and development of investment products.
- **Establishment Expenses:** These include cost associated with running the company and other fixed overheads.
- **Administrative Expenses:** These include the general administrative expenses.

All the items are actual cost budgeted by the directors to ensure KV has the capacity to originate, assess, develop and implement the number of deals required and targeted by the business for the next three years.

The table below shows the month expenditures for the main expenditure items:

		12/31/11	12/31/12	12/31/13	12/31/14	12/31/15	12/31/16	12/31/17
Travel and Accommodation Professional Fees and Consultants	Cost per Month	42,750	34,583	11,867	41,667	58,333	75,000	100,000
	Cost per Month	7,846	-	33,667	116,667	183,333	250,000	308,333
Consultancy Fees	Cost Per Month	50,596	34,583	45,533	158,333	241,667	325,000	408,333
	Total Consultancy Fees	607,150	415,000	546,400	1,900,000	2,900,000	3,900,000	4,900,000
Pipeline Development Fees	Number of Deals reviewed	-	-	-	6	10	15	20
	Total Cost on Pipeline development	-	-	-	12,000,000	15,000,000	20,000,000	25,000,000
	Cost per review and due diligence	-	-	-	2,000,000	1,500,000	1,333,333	1,250,000
Entertainment Expenses Motor Vehicle Expenses Rates	Cost per Month	13,010	9,875	1,375	16,667	58,333	58,333	88,333
	Cost per Month	13,916	7,204	-	33,333	35,833	38,333	41,667
	Cost per Month	-	-	6,375	8,333	8,333	8,333	8,333
Insurance Expenses Website Development Conference and Meeting Expenses Depreciation	Cost per Month	3,931	3,931	-	8,333	8,333	8,333	8,333
	Cost per Month	-	-	-	8,333	3,333	3,333	3,333
	Cost per Month	-	-	-	16,667	60,833	58,333	108,333
	Cost per Month	13,113	9,955	1,872	44,433	36,960	30,971	26,121
Establishment Expenses	Cost per month	43,969	30,965	9,622	136,099	211,960	205,971	284,455
	Total Cost	527,630	371,581	115,461	1,633,191	2,543,518	2,471,649	3,413,458
Audit and Accounting Fees	Number of Audit per year	1	1	1	1	2	2	2
	Percentage of Revenue	1.7%	1.6%	-	-	1.9%	1.4%	1.2%
	Total Cost of the Audit fees	31,000	20,000	40,000	100,000	500,000	1,000,000	1,500,000

		12/31/11	12/31/12	12/31/13	12/31/14	12/31/15	12/31/16	12/31/17
Newspapers and Periodicals	Per month	679	346	-	333	4,167	4,167	4,167
Postage and Telephone	Per month	2,276	2,704	2,892	5,833	25,000	25,000	25,000
Printing and Stationary	Per month	1,210	704	-	16,667	16,667	25,000	25,000
Rent for Office Space	Per month	24,263	24,329	11,000	75,000	300,000	300,000	300,000
Utilities	Per month	1,647	1,871	1,333	8,333	8,333	8,333	8,333
Training Expenses	Per month	4,000	-	-	3,333	4,167	16,667	33,333
Donations	per month	233	-	-	-	-	-	-
Legal Expenses	Per month	-	-	-	23,000	25,000	41,667	41,667
Medical Expenses	Per month	10,127	-	-	15,833	25,000	49,167	66,667
Staff Costs	Top Management (number)	1	1	1	2	2	2	2
	Cost per senior Staff per month	-	-	-	-	300,000	350,000	350,000
	Associates, Analyst and support staff	-	-	-	1	2	3	5
	Cost per support staff	-	-	-	93,333	100,000	137,778	150,833
	Total Cost per Month	-	-	-	93,333	800,000	1,113,334	1,454,165
	Total Cost per Year	-	-	-	1,119,996	9,600,000	13,360,008	17,449,980
Administration Cost	Per month excluding Staff cost	44,434	29,954	15,225	148,333	408,333	470,000	504,167
	Total Cost per month including Staff cost	44,434	29,954	15,225	241,666	1,208,333	1,583,334	1,958,332
	Total Cost for the year	564,202	379,453	222,700	2,999,996	15,000,000	20,000,008	24,999,980

The Board of Kurwitu Ventures is confident that it has adequate resources to fund the operating costs of the company for the next two years after the listing date.

4.3 Current Board of Directors

Name	Position	Nationality	Address
Mr Abdikadir H Mohamed	Chairman	Kenyan	P.O.BOX 105028, 00101
Mr Mohammed Abdirahman Hassan	Director	Kenyan	P.O.BOX 105028, 00101
Ms. Sumayya Hassan Athmani	Director	Kenyan	P.O.BOX 105028, 00101
Mr Abdikadir Mohamed Haji	Director	Kenyan	P.O.BOX 105028, 00101
Mr. Isaak Jamal Ibrahim	Director	Kenyan	P.O BOX 105028, 00101
Mr Abdirahman Abdillahi	Managing Director	Kenyan	P.O BOX 105028, 00101

4.4 Other Corporate Information

Position	Details
Auditors	Obwanga and Associates Certified Public Accountants P.O BOX 7370 – 00200 Nairobi Kenya Physical Address: Karen Triangle Estate: Karen Road
Company Secretary	Morris Irungu Kariuki Certified Public Secretaries P.O BOX 100803 – 00101 Nairobi, Kenya. Physical Address: African Alliance YMCA Ground Floor State House Crescent Road
Legal Advisors	Mahmoud & Gitau Advocates P.O BOX 100803 – 00101 Nairobi, Kenya. Physical Address: African Alliance YMCA Ground Floor State House Crescent Road
Principal Banker	CFC Stanbic Bank P.O BOX 30550 – 00100 Nairobi, Kenya. Physical Address: CFCSTANBIC Centre, Chiromo Road Westlands
Registered Office	African Alliance YMCA Ground Floor, State House Crescent Road
Financial Calendar	1st January – 31st December

Position	Details	Contact Person
Nominated Advisor	Standard and Mutual Limited P.O BOX 6773 – 00100 Nairobi Kenya Physical Address: Eden Square 7th floor Westlands Chiromo road	Chris Maranga: Director, Corporate Finance.
Legal Advisor	Mahmoud, & Gitau Advocates P.O BOX 100803 – 00101 Nairobi Kenya Physical Address: African Alliance YMCA Ground Floor, State House Crescent Road	Robert Gitau: Partner Conveyance and Commercial Law.
Reporting Accountant	Obwanga and Associates: Certified Public Accountants P.O BOX 7370 – 00200 Nairobi Kenya Physical Address: Karen Triangle Estate: Karen Road	Michael Obira: Partner Audit and Assurance
Registrar	Central Depository and Settlement Corporation P.O BOX 3464 – 00100 Nairobi Kenya Physical Address: Nation Centre 10th Floor Kimathi Street	Florence Kamau: Head of Operations



5.0 KEY FEATURES OF THE LISTING

This Section contains a summary of the Listing of Shares. This Listing Statement should be read in full, along with other documents available for inspection for full appreciation of the subject matter.

5.1 Listing Statement

Kurwitu Ventures is pleased to be listed on the NSE as an industry pioneer in the provision of tailor made financial products and services that adhere to Islamic Sharia Law. Raising capital from the public is not the top priority for Kurwitu Ventures and as such Kurwitu Ventures has opted to list its shares by way of introduction on the NSE. This will provide existing shareholders price discovery and liquidity while setting the foundation for a broader shareholder base in the future.

5.2 Transaction Overview

Transaction:	Listing by Introduction into the NSE
Issuer:	Kurwitu Ventures Ltd
Shares:	102,272 ordinary shares each of Ksh 100.00 each comprising the issued and fully paid up share capital of the Issuer as at 30th June 2014
Status:	Upon listing, freely transferable ordinary shares ranking pari passu with each other.
Trades:	Shares will be fully dematerialized and uploaded into the CDS prior to trading.
Compliance:	The Listing is subject to the requirements of the Articles, The Companies Act, The Capital Markets Act, the Nairobi Securities Exchange Listing Manual and the Central Depositories Act.
Price per share:	Ksh 1,250
Nominated Advisor:	Standard and Mutual Ltd
Governing Law:	Kenyan Law

Table 1: Transaction Overview
(Source: Kurwitu Ventures)

5.3 Basis for Setting Listing

The listing price has been determined by the Company in consultation with the Nominated Advisor on the basis of the Net Asset Value ("NAV"). While Discounted Cash Flow ("DCF") valuations are conventionally used to determine the listing price for new companies, the uncertainty related to forecasting future cash flows for Kurwitu Ventures led to the decision to take the more conservative NAV approach. The total asset of the company as at 31 December 2013 was Kshs 107,428,889 and the number of issued shares was 100,000. The Company therefore has a NAV per share of Kshs. 1,075 and the listing price has been set at Kshs. 1,250, which is a 16% premium on NAV. The premium on NAV represents a value commensurate with the quality of the board and development of an investment pipeline.

The listing price is deliberately set high to conform to best international practices of protecting the uninformed

investor from investing in high-risk investments without sufficient diligence. Kurwitu Ventures will, in the future, structure products that may change its classification from a high risk to a lower risk investment category.

The share price of Kshs 1,250 is higher than the average price of other listed companies on the NSE. In due course, Kurwitu Ventures may reduce the share price through a corporate action such as a share split or share bonuses (largely tied to profitability). Kurwitu has not set a firm date on when it will raise additional capital although such a decision may lead to a dilution of the price to conform to the investment budget of the retail investor.

5.4 Reason for Listing

The primary focus of the listing is to create an investment vehicle that offers Sharia Compliant products through the capital markets, to offer existing shareholders a price discovery mechanism as well as liquidity and to set the foundation for a broader shareholder base in the future. The shareholders are interested in seeing the investing public play a role in setting a market based price for Kurwitu Ventures' shares.

5.5 Listing Details and Associate Cost

Details	Statistics
Listing price per share	Kshs. 1,250.00
Par value of the shares before the split	Kshs. 100.00
Total Number of Issued Shares	100,000
Net Profit of the twelve months <i>(preceding year of listing)</i>	Kshs. (815,416)
Earnings per share for the 12 months preceding the year of listing	Kshs. (62.40)

Table 2: Listing Statistics
(Source: Kurwitu Ventures)

Professional fees and related costs	Kshs.
Nominated Advisors	1,500,000.00
Reporting Accountants	140,000.00
Legal Advisors	500,000.00
Registrars	50,000.00
NSE listing fees	32,000.00
TOTALS	2,222,000.00

Table 4: Professional fees and other related costs
(Source: Kurwitu Ventures)

These figures are inclusive of VAT (where applicable) and may be subject to change.

Transaction time table	Date
Semi annual general meeting	5 June 2013
Board approval for the listing	6 Feb 2014
Approval from Nairobi Securities Exchange	15 Oct 2014
Uploading of shares on CDSC	12 Nov 2014
Listing and commencement of the trading at the Nairobi Securities Exchange	13 Nov 2014

Table 3: Transaction Timetable
(Source: Kurwitu Ventures)

	2011	2012	2013	½ 2014
EPS (Kshs/Share)	78.3	52.0	(62.4)	(10.6)
Shares Outstanding	1,000	1,000	78,400	102,272

5.6 The Company

On the 22nd of October 2013 the shareholders at an extra-ordinary general meeting resolved by an ordinary resolution to increase the share capital of the company from one thousand shares (1,000) of shillings one hundred thousand (100,000) to shillings ten million (10,000,000) divided into one hundred thousand (100,000) shares of shillings one hundred (100) each.

On the 8th of November 2013, the board of directors allotted seventy seven thousand four hundred shares (77,400) shares to applicants who fully paid for the shares allotted. By this dated the company shareholders increased to nine (9) members. The board and the shareholders present agreed to a lesser notice for a special general meeting on 13th of November 2013.

On 13th November 2013 by a resolution of the shareholders in a special general meeting of shareholders held at the company's offices, the company resolved to convert to a public limited liability company, and the said resolution was registered at the company's registry and was issued with certificate (C. 3/2014), dated 5th of February 2014.

On the 6th February 2014, the board of directors allotted a further twenty one thousand seven hundred (21,700) shares to additional nine (9) shareholders, taking the total shareholding to eighteen shareholders. At the same meeting the board of directors made a decision to list the shares of Kurwitu Ventures at the GEMS at the NSE.

On the 3rd of March 2014, the shareholders in a special general meeting approved the decision of the board to list at the GEMS of the NSE and to register the company with CDSC so that the shares can be traded in their system and also the CDSC to act as company's registrar.

On the 22nd of May 2014, the board of directors through a meeting resolved to raise additional capital through the issuance of twenty five thousand (25,000) shares at a price of One thousand two hundred and fifty (1,250) Kenya shillings.

On the 12th of June 2014, shareholders at an extra-ordinary meeting resolved by an ordinary resolution to increase the share capital of the one hundred thousand shares (100,000) of shillings ten million (10,000,000) to shillings twelve million five hundred (12,500,000) divided into one hundred and twenty five thousand shares (125,000) of shillings one hundred (100) each based on the board recommendation.

5.7 Lock in Period of shareholders holding significant stake.

All the shareholders holding 5% and above of the company shares have bound themselves not to sell more than 25% of their holdings in the next 12 months. Only two shareholders qualify to be bound as illustrated by the list of significant shareholders in page 46.

5.8 Dividend Policy

Kurwitu has a policy to pay dividends when permitted by law and subject to consideration of its investment requirements, financial condition including its level of indebtedness and liquidity requirements, and its results of operations. The declaration, amount and payment of dividends is determined, subject to the limitations set forth above, by a majority vote of the Shareholders at an annual general meeting of the Company and generally on the recommendation of the board of directors.



6.0 ECONOMIC OVERVIEW

6.1 General Outlook of the Economy

The economy generally grew from 2006 – 2012 by a compounded growth rate of 3.5%, and is expected to continue to grow because:

- The economy is shifting from agricultural to more service oriented sectors as can be seen by the expansion of financial intermediation, transport and communication, real estate development (construction) and tourism.
- Interest rates and other lending indicators point to a decreasing cost of capital and improving capital circulation resulting in the expansion of the monetary supply. The expectation of interest rates easing is due to the 91-Day Treasury bill rates declining to the averages of 7.0 – 7.5%.
- Government plans to increase investment in the area of infrastructure development.
- Improved and rapidly expanding financial inclusion has given millions of Kenyans a stronger stake in the economy.

Units in Million Ksh (constant 2001 prices)		
Years	All industries	% Change
2007	1,155,991	
2008	1,168,380	1.1%
2009	1,198,270	2.6%
2010	1,266,693	5.7%
2011	1,315,128	3.8%
2012	1,372,965	4.4%

Table 5: All industries total GDP:
(Source: Kenya Bureau of Statistics)

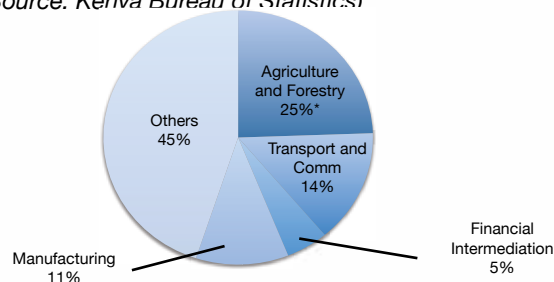


Table 6: Sectoral Contribution to GDP in 2012

(Source: Kenya Bureau of Statistics)

6.1.1 Inflation

The general trajectory of the inflation rate was upward with a positively beta co-efficient as shown by the graph.

- The mean inflation rate from September 2012 to December 2013 was 4.9% with a variance of 4.2%.
- The inflation rate was driven by the rising cost of fuel and basic food prices.

The inflation rate is expected to increase due to the increasing wage bill, the growing deficit, the failing rains and the government expansionary policy on infrastructure development.

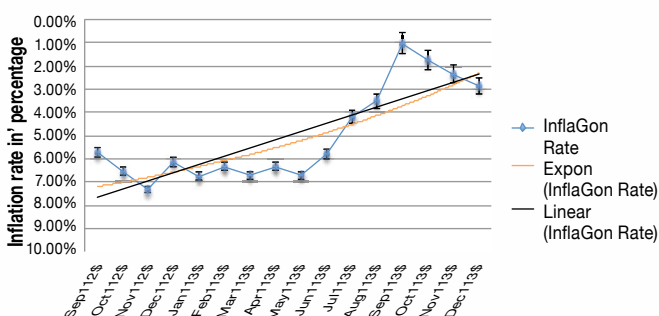


Table 7: Inflation Rate:
(Source: Central Bank of Kenya)

6.1.2 Interest Rates

All interest rates showed a modest downward move as highlighted below:

- The weighted average commercial lending rate was at 20.2% in July 2012 and closed at 16.9% in October 2013, with an average of 17.1%
- The 91-Day Treasury bill rate also showed a modest downward movement from 11.9% in July of 2012 to 9.7% in October of 2013 with an average of 9.1%.
- The interbank lending rate also declined from 13.6% to 10.7% with a mean interbank rate recorded of 8.3%.
- The saving rates also showed a negative downward trajectory with a mean was 1.6%.

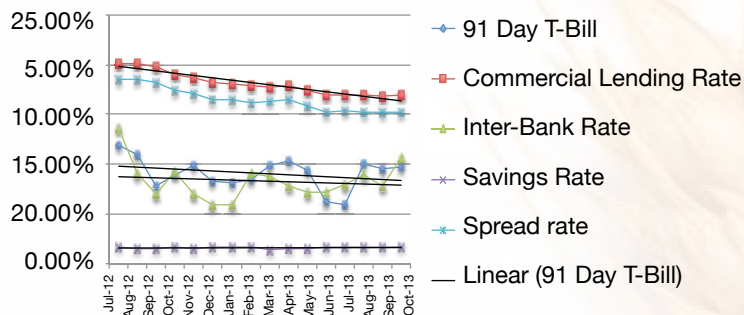


Table 8: Lending Rates:

(Source: Central Bank of Kenya)

6.1.3 Exchange Rate

The Kenyan currency held stable against the Dollar, Euro and Pound Sterling for the period under review.

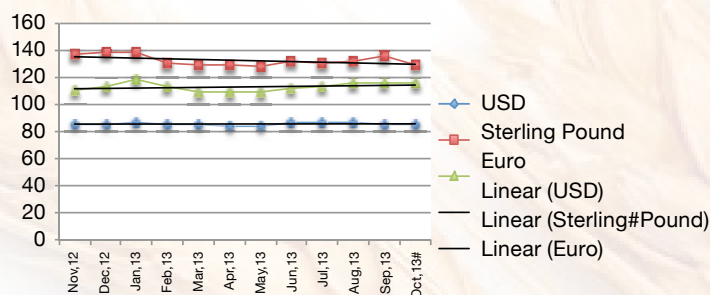


Table 9: Exchange Rates

(Source: Central Bank of Kenya)

6.2 Agriculture Overview

The contribution of agriculture to the Gross Domestic product ("GDP") has been on a decline over the last few years from a high of 27.7 % in 2007 to 24.5% in 2012.

The decline is expected to continue as the economy shifts towards the service sector, unless the agricultural sector shifts gears towards value addition and more upstream development aimed at addressing sector inefficiencies.

The sector accounts for about a quarter of the total GDP and employs over 75% of the population underpinning the significant importance of the agricultural sector to the economy and as a foreign exchange earner.

Units in Millions of Ksh (constant 2001 prices)

Year	Total Value	GDP (%)	% Change
2007	320,423	27.7	
2008	307,354	26.3	(4.1)%
2009	299,431	24.9	(2.6)%
2010	318,586	25.2	6.4%
2011	323,415	24.6	1.5%
2012	335,785	24.5	3.8%

Table 10: Total Agricultural Production.

(Source: Kenya Bureau of Statistics)

6.3 Transport and Communication Overview

This sector has shown positive year on year growth between 2007 and 2012 mainly due to:

- Improving infrastructure;
- Expansion of the communication network; and
- New developments in the communications infrastructure with extensive deployment of fiber optics cable.

Furthermore, the CAGR of the sector was 4.8%, which is expected to improve even further given the continued development and improvement in the infrastructure across the country by both the National Unit and the County Units. Moreover, the communication systems are also expected to grow and improve with the deployment of the fiber network infrastructure

6.4 Financial Sector

The contribution of the financial sector to GDP improved from 4.4% in 2007 to 5.1% in 2012. With CAGR of 6.6%.

- The financial sector has been growing faster than the economic growth rate with the year to year change being positive and greater than the percentage contribution to the GDP
- Its relative importance has increased from 4.4% in 2007 to 5.1% in 2012 due to the improvement and expansion of the banking sector. The sector's expansion can be linked to the integration of mobile platforms as financial intermediaries through the mobile-based banking systems like M-Pesa and M-Shwari, which brought into the fold the unbanked majority.

6.5 Manufacturing

The performance of the sector held consistent during the period under review with CAGR of 3.17% during the reporting period.

- The percentage contribution held consistent across the years in an environment of consistent expansion in the GDP.
- The absolute value of the growth was positive and grew consistently over the period of assessment.

Units in Millions of Ksh (constant 2001 prices)

Year	Total Value	GDP (%)	% Change
2007	156,845	13.6	
2008	161,615	13.8	3.0%
2009	171,994	14.4	6.4%
2010	182,181	14.3	5.9%
2011	190,654	14.4	4.7%
2012	198,234	14.4	3.9%

Table 11: Total value of Transport and Communication:
(Source: Kenya Bureau of Statistics)

Unit in Million Ksh (constant 2001 prices)

Year	Total Value	GDP (%)	% Change
2007	50,306	4.35	
2008	51,659	4.42	2.69%
2009	55,375	4.62	7.19%
2010	60,379	4.77	9.03%
2011	65,095	4.95	7.81%
2012	69,349	5.05	6.53%

Table 12: Total value of Financial Intermediation
(Source: Kenya Bureau of Statistics)

Units in Million of Ksh (constant 2001 prices)

Year	Total Value	GDP (%)	% Change
2007	130,673	11.3	
2008	135,291	11.6	3.5%
2009	137,060	11.4	1.3%
2010	143,263	11.3	4.5%
2011	148,198	11.2	3.5%
2012	152,735	11.1	3.0%

Table 13: Total Value of Manufacturing
(Source: Kenya Bureau of Statistics)

6.6 Capital Market Overview

The NSE index showed varied performance between 2006 and 2013 with the index bottoming out in 2009 due to the global financial crises, and the after effects of the Post-Election Violence.

Key highlights noted were:

- The downward spiral that started in 2007 due to the global financial crises and compounded by the post-election violence continued through 2011 with a market anomaly in 2010.
- The market anomaly in 2010 was due to the passing of the New Constitution in Kenya, which led to positive exuberance and sentiments from Kenyans.
- The recovery of the index started from 2012 and continued through 2013 with the index crossing the 5,000 mark in November 2013 and reaching the highs of the index in 2007. The current recovery and future optimism indicate the gains will be sustained in 2014 but with more moderate returns.
- Market Capitalization from 2006 - 2013 changed by a CAGR 19.4%. The Market Capitalization changed from 481.97 Million in 2006 to 1,994.89 Million in 2013.
- The average total volume traded in the NSE was on an upward trajectory from 2006 – 2013 with all averages being higher than 2006 and were statistically significant.
- The ratio of the NSE 20 share volume traded against the total volume traded increased during the years of crises, from an average of 68% to 88.0%.
- Finally the sectorial preference of the market has been changing with a shift away from Industrial and Allied to Commercial and Financial Services.

A key initiative began by the NSE in 2013, was the launch of the Growth Enterprise Market Segment ("GEMS") in January 2013. GEMS was launched to promote the growth of Kenya's dynamic SME industry by providing an alternative capital raising and equity listing mechanism. Listing on the NSE through GEMS is expected to reduce complexity and costs of raising capital on the NSE.

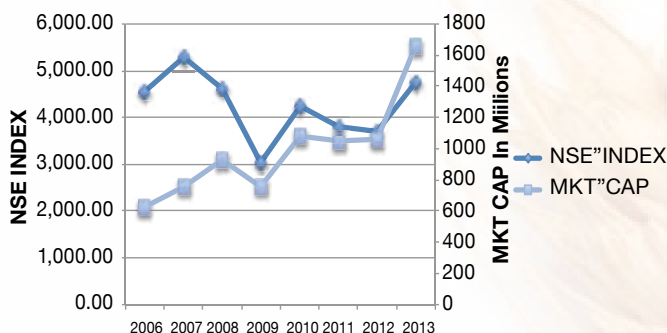


Table 14: NSE Index and Market Capitalization
(Source: Nairobi Securities Exchange)



Table 15: Share Volume Traded: Total Market and NSE 20
(Source: Nairobi Securities Exchange)

Index to Market

YEAR	MEAN	MEAN DIFFERENCE
2006	68%	
2007	78.5%	10.5%
2008	88.1%	20.1%
2009	88.0%	20.0%
2010	83.1%	15.1%
2011	82.2%	14.2%
2012	82.0%	14.0%
2013	80.9%	12.9%

Table 16: NSE 20 share volume traded against total volume
(Source: Nairobi Securities Exchange)





7.0 INVESTMENT FOCUS

Kurwitu Ventures' key focus is to invest in multi-sector Sharia Compliant investments with a key focus on food production primarily in agriculture with linkages to processing, animal feed, services and infrastructure e.g. storage, packaging, fertilizers and animal husbandry. The main objective is to build integrated agri-businesses that incorporate the above segments so as to create raw material sources, provide a hedge against commodity prices and control the value chain while owning substantial tangible assets.

The exact number of people who profess Islam in Kenya is not easy to estimate. Based on Kenya's 2009 population census the Muslim population constitutes 11.2% of the country's population. Against this background investment that pass the Sharia Compliant litmus test are few and far between. Most of the companies listed on the NSE either deal with interest bearing instruments either as assets or liabilities. They are financial institutions, which by their very nature deal with interest or are companies, which deal with alcohol, tobacco, and other prohibited substances in Islam. The existence of these types of institutions limits the investment universe available to Muslim investors. This gap is that, which Kurwitu Ventures intends to bridge.

7.1 Development of Islamic Finance

Islam is a religion that governs the way of life for its adherents. It governs not only the spiritual aspects such as prayer, fasting and pilgrimage but also the interaction between the people and the environment around them.

The major difference between Islamic Finance and Conventional Finance is the matter of interest payments. Interest is defined as the amount paid by a creditor over and above the original amount borrowed. For example a person may borrow a thousand shilling and pay back a thousand one hundred shillings after one year. The one hundred shillings constitutes interest and it is the interest element that is forbidden in Islam. Islam encourages business transactions where probability of benefit and loss is shared. Islam also forbids investment in certain industries such as alcohol, intoxicating drugs, pork products and anything that is essentially harmful like gambling, pornography or tobacco products. In the past few years' there has been some developments in Islamic Finance which have given Muslims some financing alternatives more in line with their beliefs, as illustrated below

First Community Bank ("FCB")	FCB received its license in May 2007 from the Central Bank of Kenya to operate as a full-fledged Sharia compliant banking institution. The Bank is owned by a diverse group of shareholders. FCB has 17 branches in 10 counties. They are mainly located in urban areas with significant Muslim populations such as Nairobi, Mombasa, Malindi, Kisumu, and Garissa. FCB has a Sharia Advisory Board made up of respected scholars in the local Islamic community.
Gulf African ("GAB")	GAB was licensed by the CBK in January 2008. It is the larger of the two Islamic Bank banks in Kenya in terms of capitalization with large external institutional investors among the founding members. GAB has 13 branches and is part of the Kenswitch and Pesa-Point ATM network that covers a large part of the urban market.

Units in Ksh

GULF	2008	2009	2010	2011	2012
Customer Deposits	3,427,813,000	6,424,890,000	8,162,501,000	10,865,268,000	11,684,322,000
Financing arrangements	1,932,165,000	4,950,218,000	6,270,884,000	7,439,551,000	9,446,582,000
Shareholders' Funds	1,273,305,000	1,149,948,000	1,223,842,000	1,319,177,000	1,561,398,000
Profit After Tax	(281,381,000)	(123,157,000)	73,894,000	95,335,000	242,221,000

Table 17: Gulf African Financial Overview Bank:
(Source: Gulf African Bank Financial Statement)
**Takaful Insurance
("Takaful")**

Takaful Insurance is a concept based on mutual cooperation and protection based on Islamic precepts.

Members pay their contributions into a pool based on perceived risk. At the end of the financial year, the pool may have a surplus. Whereas in conventional insurance the surplus belongs to the Insurer, in the Takaful model the surplus is shared with the pool members. Takaful was licensed and has a unique motto of - "I give back money if you do not claim".

Units in Ksh

Takaful	2010	2011	2012
Net Profit	(9,031,000)	(81,940,000)	(33,237,000)
Total Equity	314,316,000	289,376,000	3,143,160,000
Total Liabilities	110,000,000	219,417,000	354,760,000

Table 18: Takaful Insurance Financial Overview
(Source: Takaful Insurance Audited Financial Statements)

Although significant gains have been made in the financial sector, like the establishment of the full-fledged Islamic Banks and Insurance companies and the expansion of other banks' operations to address Islamic needs, Kurwitu Ventures aims to tap into the huge Islamic investment segment that has largely remained unexploited by providing viable investment opportunities to the Muslim investors without discriminating against non-Muslims.

7.2 Overview of the Agricultural Sector

The Agricultural and Rural Development (“ARD”) Sector comprises of the following eight sub-sectors:

- Agriculture;
- Livestock Development;
- Cooperative Development and
- Marketing;
- Lands;
- Fisheries Development;
- Forestry and Wildlife;
- National Land Commission; and
- Agricultural Research & Development.

In its contribution to GDP, the ARD sector directly contributes 24.5% of GDP estimated at Kshs 335,885 million and indirectly also contributes approximately 27% of total GDP through linkages with manufacturing, distribution and other service related sectors. It further accounts for about 65% of Kenya’s total exports, 18% and 60% of the formal and total employment respectively.

The ARD sector goal, in line with Vision 2030, is to create “an innovative, commercially oriented and modern agriculture and rural development sector”. The policy and institutional framework guiding the sector is the Agriculture Sector Development Strategy (ASDS, 2010-2020), which emanated from a revision of the Strategy for Revitalizing Agriculture (SRA, 2004-2014) to reflect the aspirations of Vision 2030. The key policy goals of the sector include: raising agricultural productivity through the generation and promotion of technologies and increased resource allocations; exploiting irrigation potential and increased commercialization of agriculture.

The small-scale farmers, who cultivate on less than 2.5 hectares each, dominate agriculture in Kenya. According to FAO, smallholder farming produces approximately 75% of the country’s total agricultural output. They produce 70% of our maize, 65% of the coffee and 50% of the tea. The small-scale farmer is the backbone of this nation’s economy but has been neglected by policy implementers for a long time. The result has been a decline in productivity due to low access to fertilizer, pesticides, quality seeds and most importantly a reliable and guaranteed price.

The lack of support for the small-scale farmers has resulted in marginalization of farming as a career. The average age of the Kenyan farmer is 55 years old, which coincidentally is the retirement age for civil servants. Young people are leaving the rural areas in droves for the lure of urban opportunities. The youth who remain in the rural areas disdain the backbreaking farm work contrary to their education and aspirations. They went to school to escape the labor intensive and volatile agriculture sector. At this rate Kenya may face a situation of depopulated farms in the rural areas with an exponential growth in unemployed youth in the urban areas.

Vision 2030 has interesting proposals to lift this sub-sector from its poor state. Devolution may result in some counties focusing on facilitating the development of small-scale farmers. With the current government signaling its dedication to this sector, its on-going reforms are likely to tap into the tremendous latent potential of the Agriculture sector. Moreover, it is difficult to achieve high economic growth rates when a quarter of the economy is hardly growing. Furthermore, economic growth in the smallholder farmer category is probably the best way to achieve poverty alleviation.

7.2.1 Challenges facing the Agricultural Sector

- i. Arable land available for agriculture is limited at only 10% of the total land in Kenya. Land suitable for pasture is more than 50% of the country yet most of it is not used for intense commercial ranching. A good part of the country is located in the arid and semiarid north. The arable land is largely found in the highlands in the middle of the country, the zone closest to the Indian Ocean and the western part near Lake Victoria;
- ii. The effect of urbanization on arable land is affecting agricultural production with arable land being converted to real estate, industrial buildings and parks due to increased human population in large and growing urban centers. Another negative effect of urbanization is relocation of important human capital from the rural and agriculturally fertile areas to urban areas, thus creating scarcity of human resources in agriculturally fertile areas;

iii. The quality and quantity of the transport network plays a big role in physical access and marketing of agricultural produce. The road network is limited and largely made of poor quality earth roads, where accessibility is seasonal. Thereby, making movement of inputs and produce to and from the farm expensive, and resulting in heavy losses on farm gate sales and crop waste;

iv. Low access to financial services, capital and affordable credit by small-holder farmers has limited the use of machines, fertilizers and other inputs, which in turn limits production output;

v. Poor development of irrigation systems has resulted in the increased reliance on rain-fed farming, which is not effective;

vi. Availability of good quality seeds may be hampered by policies that have restricted the use of Genetically Modified (“GM”) seeds.

GM seeds have been proven in other countries to be safe and increase production. The current blanket policy banning all GM seeds from Kenya may need to be revisited;

vii. Slow permeation of new seeds and farming technology to the small-scale farmers in Kenya. Local agricultural based research bodies such as Kenya Agricultural Research Institute (“KARI”) have gained stellar international reputation based on their applied research in agriculture and livestock. However, their good work does not effectively reach the majority farmers due to increased bureaucracy;

viii. Value addition in agriculture is low. A lot of Kenyan products are sold in their raw form. Kenya fares badly in comparison to Mauritius and South Africa. In 2010, the average agriculture value added per worker was USD \$200 in Kenya compared to USD \$5,000 in Mauritius and over USD \$3,000 in South Africa;

ix. The unpredictable and changing climatic patterns have negatively impacted Kenya’s food production systems. Due to the current reliance on rain fed farming the agricultural sector is extremely

vulnerable to hazardous climatic changes and variable rain patterns; and

x. The level of vulnerability of a country to food price shock is directly related to insecurity and political stability. The drought of 2010-11 was the most severe experienced in East Africa in over 50 years. It resulted in a famine in a large part of Kenya. As a result we were affected by high cereal prices (particularly maize) and excessive livestock mortality. Some of the pastoral communities have found it difficult to recover their herds to previous levels.

7.2.2 Opportunities in Agriculture

Population Growth

Our population growth rate has slowed slightly over the past 30 years. In 1981, the population grew by 3.73% while in 2012, it was estimated that the population grew by 2.6%. Notwithstanding, the Kenyan population growth rate is higher than the 2% regarded as a population replacement benchmark. With over a million additional people being added to the population each year there is a huge growth in demand for food, which the agricultural sector is poised to exploit.

Irrigation

Kenya has irrigation potential of over 1 million hectares, based on the discovery of large water deposits in Turkana County. Before the Turkana discovery, the irrigation potential was estimated at 540,000 hectares, against the backdrop of an estimated 106,000 hectares under irrigation in 2011. There is a great gap between the potential and actual land available for irrigation. Investment in irrigation is likely to be a good opportunity to boost agricultural output on the back of growing food demand.

Devolution

Transportation of inputs and outputs to the farms is improving with the increased investment in the road network by the National Government. This could be enhanced with effective governance in devolved counties, as counties are in a better position to

prioritize transport accessibility to high potential agricultural areas.

Value Addition

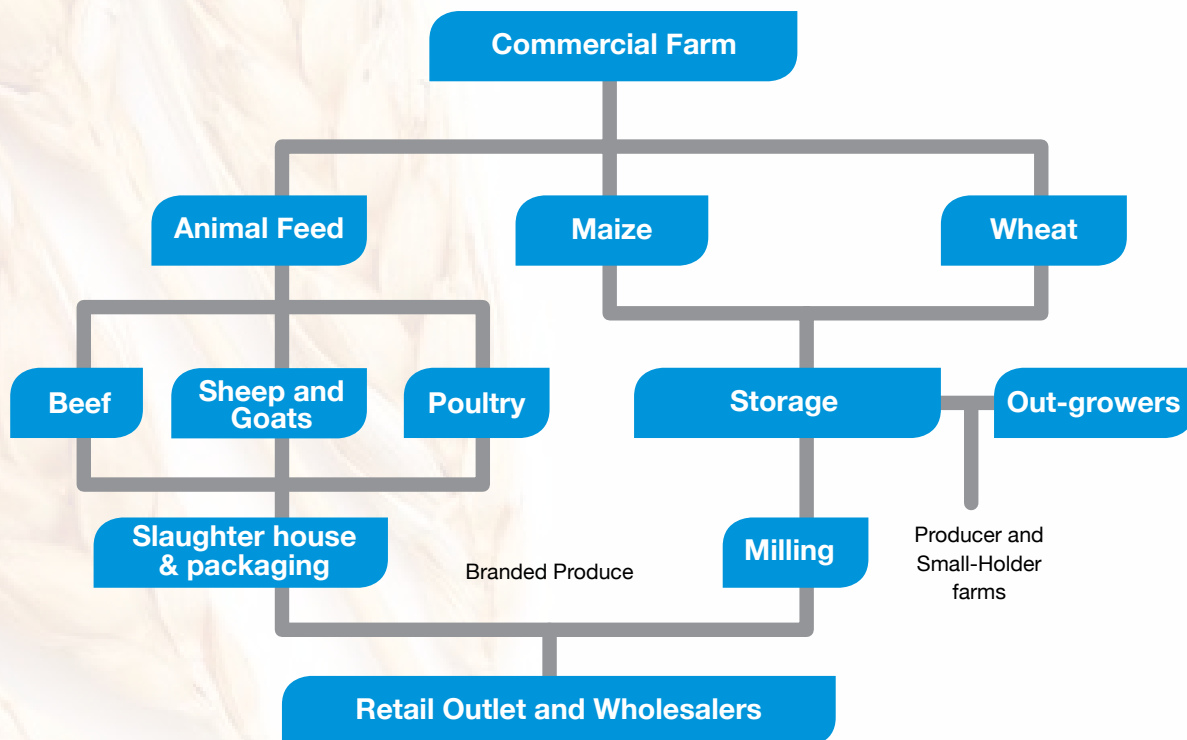
Due to the low levels of value addition in Kenya a lot of agricultural produce is exported at low prices and re-imported at much higher prices. The high margins in the value chain are lost to other economies. Investment in value addition processes such as food processing and packaging has huge investment opportunities. The end product processed locally would compete favorably with imported food products, as local processors would be able to sell their product at import parity - the price of the product on the international market plus cost of transport to Kenya.

Animal Products

Local prices of animal products such as beef, chicken, sheep and goat products are expected to increase due to the rising demand from a growing middle class, lower supplies due to insecurity and poor disease management and high feed costs. Therefore, skilled management, animal feed production and in-house veterinary services would strategically position investments in this sector for significant premiums.

Integrated Farming

Integrated farming is the combination of various farming investment in one location so as to control the supply chain within the business. This will boost economies of scale, control input prices, retain higher margins and therefore provide investors with superior



returns. An example of this is illustrated below:

In the above model, the commercial farms would concentrate on growing:

1. Animal Feed:

This would be used to sustain a commercial viable herd of cattle, goats, sheep, as well as a large number of chickens. Animal waste would be used to produce Bio- Fuel for farm usage.

2. Maize and Wheat

This would be grown on a large scale and would also be supported by out-growers/small-holder farmers residing in the vicinity of the commercial farm.

3. Value additions:

Value addition would take place on the commercial farms to lock in supply chain margins and lower transporting and processing costs. Specifically a slaughterhouse and packaging units would ensure branded meat products are supplied to the market.

Additionally, storage and milling facilities would be put in place to convert the maize and wheat into flour.

High Value Crops

Investing in higher value crops, such as fruits and vegetables, could potentially boost overall returns. Kenya has tripled its horticulture exports to over USD \$700 million annually and the demand for horticulture continues to grow globally. Focus on replacing low value crops such as cereals and grains with higher value products such horticulture, fruits, and vegetable oils, would have a tremendous

impact on the sector.

Growing Demand in Middle East and North Africa

The United Nations projects that the populations of Middle East and North Africa will be the fastest growing populations in the world over the next decade or two, therefore by 2050 the population in the region is expected to have doubled to 700 million people. This is a region with constrained food production opportunities and given Kenya's proximity, should be a relatively easy market to service.

Therefore the opportunity to focus on this market is advantageous as North Africa and Middle East provide sustainable demand for food at premium prices.





8.0 INVESTMENT STRATEGY

Kurwitu Ventures is a sharia compliant holding company for various investments. Kurwitu Ventures' investment model is different from venture capital and private equity. The traditional venture capital model is difficult to manage well due to minority interest hazards and strong conflicting cultures. Kurwitu Ventures will focus on investments that come with controlling or majority shareholding so as to control the corporate strategy, management team, and the use of capital and assets.

The Private Equity Model is facing pressure in this region. There are several players chasing very few deals, as all players target investments with a proven track record and significant growth potential within a limited time frame of usually five years. While most investors will target investments in proven ventures with great growth potential, Kurwitu Ventures intends to create successful businesses on its own or in joint ventures with other investors. East Africa has the skilled personnel, capital and investment opportunities to convert green-field and brown-field ventures into successful businesses providing significant upside gains.

Kurwitu Ventures wishes to establish a track record for creating businesses that would give investors a superior return within the confines of Islamic law. The focus will be on ventures that make a difference in the agricultural sector of the country either by improving food supply or reducing prices, while keeping the profit objective in mind. Ultimately our goal is to establish a strong identity of giving great investment value by doing the right thing. Although Kurwitu Ventures' main focus is on primary and secondary production in the agricultural sector, the company may make opportunistic investments in other sectors.

Kurwitu Ventures has an Investment Committee ("IC") made up of experienced professionals with diverse backgrounds. The IC has a mandate to review investment proposals, make initial investment recommendations to the board, monitor the due

diligence or feasibility studies, propose the investment decisions and recommend the exit timing and strategy.

Kurwitu Ventures will be a partner in various limited partnerships each of which will invest in a number of joint ventures with other coinvestors. Many co-investors have indicated limited partnerships as preferred vehicle for investment.

The target investment horizon is seven years but some investments may be made for a longer or shorter periods depending on the circumstances. For instance, Kurwitu Ventures may have invested in a project that may still have a scope of huge growth after seven years, thereby making it necessary for an extension of the holding period. Alternatively, a significant premium may be offered for a project at an early phase setting the stage for an early exit.

Operationally, Kurwitu will minimize overhead costs by maintaining low staff numbers and outsourcing the deal development component of the project. Deal development is the research and expertise required to source potential projects, negotiations and structuring and closing the transaction. Generally only one out of ten potential investments may pass the threshold targeted return on capital. Thereafter only one of these five potential investments may move to the stage of negotiations. Therefore, with a thin staff compliment it would take a long time to close the transaction under review. However, by outsourcing the deal development, Kurwitu will tap into a larger pool of expertise from trusted advisors that can turn around transactions both efficiently and effectively. The trusted advisors will be paid upon the closure of the transaction, thereby saving the company high overhead costs of retaining the services of such experts.

One of the objectives for Kurwitu Ventures' choice of listing by way of introduction is to lay the foundation for future capital raising through the NSE.

8.1 The process of turning grains of ideas into crops of investments

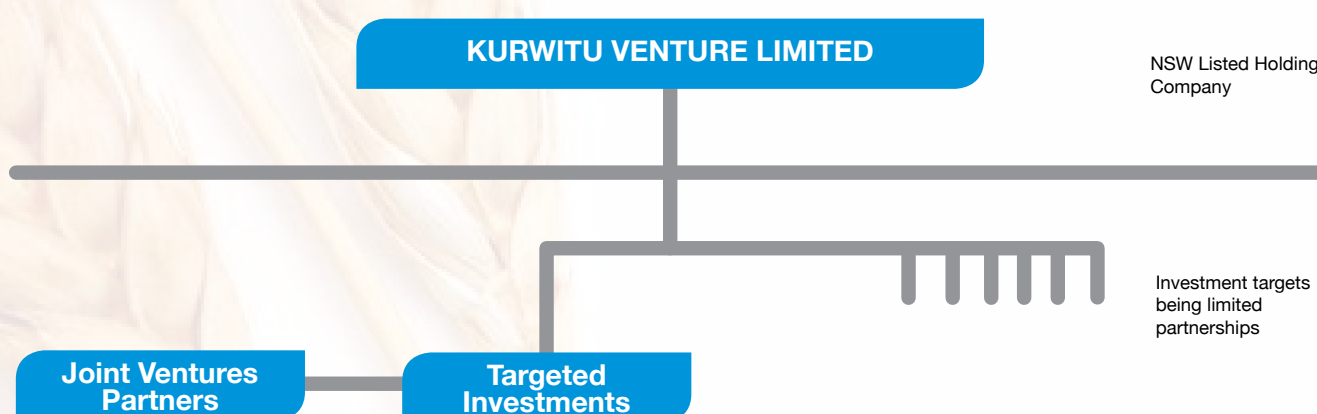
Kurwitu Ventures' has a team with vast experience, local networks and on the ground presence that should result in superior deal sourcing, strong analysis, evaluation and optimal exit strategies. Kurwitu Ventures' process of turning grains of ideas into crops of investments is summarized in the five stages below;

Deal Sourcing	Evaluation	Approval	Monitoring	Exit						
Deal Sourcing	Identification and attracting quality deal flow is a crucial element in Kurwitu Ventures' investment strategy. Kurwitu Ventures' team has worked locally and internationally evaluating deals for investors and has built a diverse network that is a source for potential deals. Kurwitu Ventures' team's reputation, and previous respected interactions with potential investees will further sustain deal flow.									
Deal Evaluation	During this stage, the Kurwitu team will build a good working relationship with the targeted sponsor. The key considerations to be evaluated are: • The existence of expertise to make the venture successful; • Existence of data to evaluate future potential of the business; • Potential returns of the venture; • Due Diligence/Feasibility Studies and cost estimates; and • Motives of the target sponsor and potential Joint Venture partners The evaluation stage includes a detailed feasibility study for a new venture and a detailed due diligence when entering a joint venture or investing in existing operations. Some critical due diligence areas to evaluate are: <table><tr><td>• Commercial Due Diligence</td><td>The assessment of the track record of the company and its industry ranking in terms of market share, product perception, positioning, profitability, growth and through Porters five competitive forces model</td></tr><tr><td>• Legal and Financial Diligence</td><td>Due Assessment of material contracts, tax adherence, and the reliability of the reporting and accounting systems and framework</td></tr><tr><td>• Valuation Exercise</td><td>The assessment of the potential risks versus returns and whether the investment has a high probability of meeting Kurwitus' hurdle rate of return threshold.</td></tr></table> Strong emphasis is also put on assessing growth potential and possible risks and mitigation strategies. It will be important for Kurwitu Ventures to assess areas where it can add significant value and estimate this value.				• Commercial Due Diligence	The assessment of the track record of the company and its industry ranking in terms of market share, product perception, positioning, profitability, growth and through Porters five competitive forces model	• Legal and Financial Diligence	Due Assessment of material contracts, tax adherence, and the reliability of the reporting and accounting systems and framework	• Valuation Exercise	The assessment of the potential risks versus returns and whether the investment has a high probability of meeting Kurwitus' hurdle rate of return threshold.
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• Legal and Financial Diligence	Due Assessment of material contracts, tax adherence, and the reliability of the reporting and accounting systems and framework									
• Valuation Exercise	The assessment of the potential risks versus returns and whether the investment has a high probability of meeting Kurwitus' hurdle rate of return threshold.									

Approval	This process aims to add objectivity throughout the assessment process. The Investment Committee must authorize in principle “GO/NO-GO” clearance for the Kurwitu Ventures deal execution team before moving into detailed due diligence. The final approval is an authorization of the investment decision, which is made by a majority vote of the investment committee.
Monitoring	Kurwitu Ventures Board of Directors will conduct intense quarterly reviews of all investments with particular emphasis on green field ventures and all investee joint ventures companies will provide Kurwitu Ventures management with monthly management reports from all key departments. Kurwitu Ventures will seek to establish a cordial working relationship with the JV partners with open, sincere and constant communication to eliminate the types of misunderstandings that can plague such ventures.
Exit	The primary goal of Kurwitu Ventures’ assessment of investment opportunities is the possible range of exit after the investment has achieved certain milestones. Typically, these investments will become targets for strategic buyers once they show high growth potential, stable cash flows, high level of governance and structured policies and procedures instituted by Kurwitu Ventures. Typically exit options will be strategic sales, but other options include Kurwitu Ventures structuring a self-liquidating mechanism, sale back to the joint venture partner, Initial Public offer (“IPO”) on the NSE Main Market Segment (“MMS”) or the GEMS.

9.2 Investment Structure

Kurwitu Ventures will invest in targeted investments through limited partnerships to maximize tax efficiency and shelter the investors from unlimited liabilities.



Different types of investments will have different return potential and varying risk profiles. In order to be Sharia Compliant, Kurwitu Ventures will avoid any investments that involve leverage and production or consumption of harmful products.

The following equity funding structures will be used to finance Kurwitu Ventures investment opportunities.

Investment Segment	Type of Investment	Investment Product	Holding Period	Required Rate of Return
Long-term Investors	Greenfield	Equity	7 Years or more	20% per annum
Long-term Investors	Joint Ventures	Equity	7 years or more	17% per annum
Medium- term Investors	Asset Spin Off	Preference Equity	5 years (if redeemable)	10-15% per annum
Short-term Investors Trading Opportunity	Trading Opportunity	Preference Equity	1-2 Years	8-12% per annum
Forex Exposure	Early Bird Infrastructure	Preference Equity	1-2 Years	Variable over reference rate

Table 19: Investment Opportunities:

Source: Kurwitu Ventures

The company may issue preference shares to fund a particular project whose return may be attractive to certain investor segments. For instance a project may be short term in nature and have returns in a strong foreign currency. In such as case it would make sense to give those investors seeking FOREX exposure preference shares denominated in the foreign currency.





9.0 INFORMATION ON THE COMPANY

9.1 History of the company

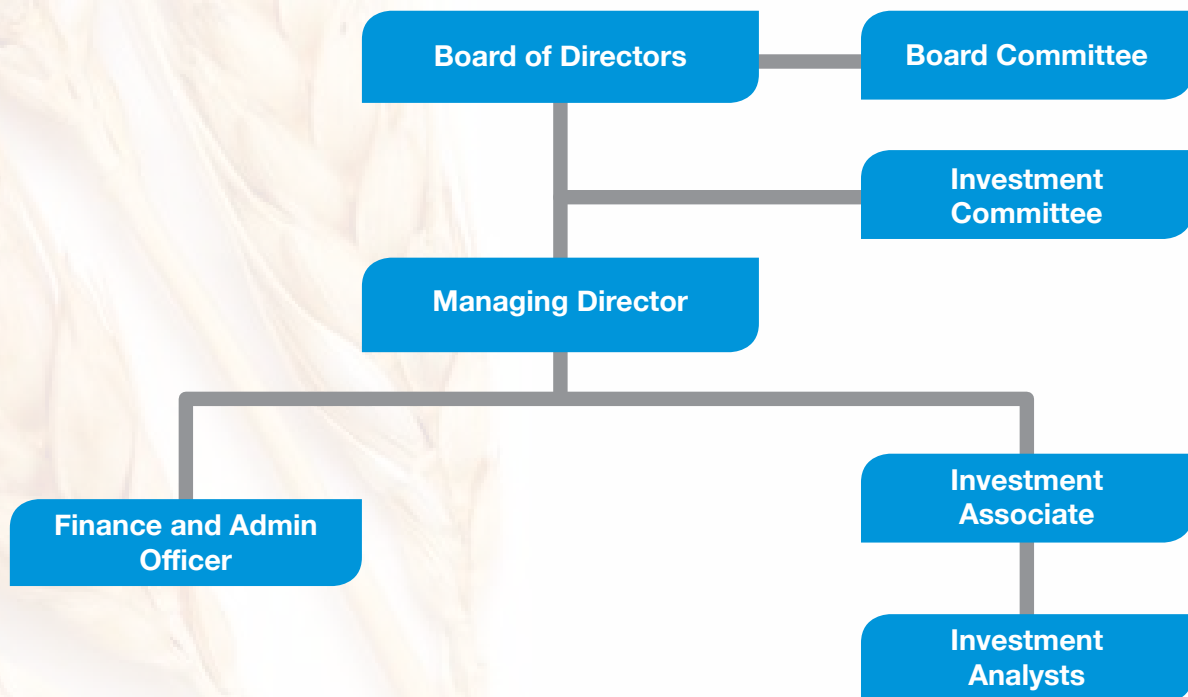
Kurwitu Ventures was incorporated as private limited liability company on the 8th of September 2006 and was issued with a certificate of Incorporation (C.128146). With an original Share Capital of One hundred thousand (100,000) divided into One thousand (1,000) shares of shillings one hundred (100) each. At incorporation, the Registered Office was L.R 209/2527/4, Muindi Bingu Street, Kantaria house.

The name Kurwitu is borrowed from an ancient but now extinct settlement that existed in present day Kilifi County towards the seaside of the villages of Shariani and Vipingo. Kurwitu beach is located close

to the ancient site of this old settlement.

The Company was originally formed to provide Investment Management Services but in 2012, the Board of Directors decided to review the strategic plan of the company, which resulted in the injection of fresh capital into the company and change of strategic focus to become a vehicle for Sharia Compliant Investments. In 2013 the Board of Directors decided to focus on restructuring the company and prepare it for a listing on the Nairobi Securities Exchange. Hence all effort was invested in the restructuring process and no revenue was posted to the company books in 2013.

9.2 Organization Structure



9.3 Board of Directors

Kurwitu Ventures has a Board of Directors consisting of six members, who have overall authority, supervision, control and responsibility for the operations and management of the company. The board ensures that Kurwitu Ventures complies with all legal and regulatory requirements under Kenyan law. However the Board has delegated responsibility for all investment/divestment decisions of Kurwitu Ventures to the investment committee.

The Board of Directors and Management of Kurwitu Ventures have not been, in the past two years, been subject to the following:

- Any petition under bankruptcy or insolvency laws in any jurisdiction pending or threatened;
- Any criminal proceedings in which the director/management was convicted of fraud or any criminal offence, nor be named the subject of pending criminal proceeding, or any other offence or action either within or outside Kenya; and/or
- Been the subject of any ruling of a court of competent jurisdiction or any governmental body in any jurisdiction, that permanently or temporarily prohibits such director/management from acting as an investment adviser or as a director or employee of a stockbroker, dealer, or any financial service institution or engaging in any type of business practice or activity in that jurisdiction.

NAMES	CLASSIFICATION	BIO PROFILE
MOHAMMED H. ABDIKADIR	Chairman and Non Executive Director	Abdikadir Mohammed is a recipient of many awards for his role in giving Kenya a new constitution in 2010, as the former chairman of the Constitution Implementation Oversight Committee in parliament and is a former member of the National Assembly of Kenya (2007 – 2013). He is also among the founding shareholders of First Community Bank and currently serves as the Joint Chairman of the Presidential Taskforce on Parastatals Reforms and is also as a senior advisor to the President on Constitutional and Legal Affairs. He is a former partner and principle head of commercial and conveyance at Ahmednasir Abdikadir & Co Advocates. Abdikadir, is an Advocate of the High Court of Kenya and holds a LLM from Harvard University.
HASSAN, A. MOHAMED	Non Executive Director	Mohammed Hassan, is the Chairman of National Bank of Kenya and a leading advisor on several energy sector transactions. He worked at Dyer and Blair Investment Bank for 14 years (1996-2010) and rose to become the Managing Director in 2007. He initiated and executed some of the largest deals in Sub Sahara Africa including the Safaricom IPO that raised over USD 700 million and the acquisition of the leading stake in Equity Bank by Helios Partners worth USD

		170 million. He also led over 30 major transactions in the past 10 years and supervised more deals than anyone in East Africa. Mohammed is a member of the Board of Trustees for Northern Kenya Education Trust; Member of the Board of Trustees of the Kenya Olympic Committee; and Member of the National Steering Committee of NEPAD, Kenya. NEPAD is an African Union agenda to improve political governance in member countries. He is a holder of the Chartered Financial Analyst (“CFA”) charter since 2006 and holds a Bachelor of Commerce degree from the University of Nairobi and M.sc in Finance from the University of Strathclyde.
MS. SUMAYYA HASSAN-ATHMANI	Independent and Non Executive Director	Sumayya Hassan-Athmani is the Chief Executive Officer (“CEO”) of the National Oil Corporation of Kenya (“National Oil”). She holds a Bachelor of Laws (Hons) degree from Lancaster University, a Master of Laws degree in Commercial Law from the University of Bristol, UK and is an advocate of the High Court of Kenya. She joined National Oil in 2004 as the Company Secretary and Legal Affairs Manager from private law practice where she worked as a commercial and conveyance attorney. During her tenure as CEO, National Oil has registered a number of major successes in the upstream, midstream and downstream segments of the petroleum business and was declared the Africa National Oil Company of the Year in 2011.
MR. ISAAK JAMAL IBRAHIM	Independent and Non Executive Director	Isaak joined Gulf African Bank (“GAB”) as Head of Finance in 2008. He is a holder of the Chartered Financial Analyst (“CFA”) charter since 2006 and is currently pursuing an MBA from Strathmore University. He also holds a Bachelor of Commerce (Hons) degree from the University of Nairobi. He has extensive experience in the banking and finance industries having also previously worked in Bank of Bermuda and Deloitte and Touché.

NAMES	CLASSIFICATION	BIO PROFILE
HAJI, MOHAMMED ABDULKADIR	Independent and Non Executive Director	Abdul Haji is a successful businessman and entrepreneur. He is the Managing Director of Radio Salaam. He established Radio Salaam as a key media player focusing on the Muslim population. Radio Salaam has frequencies covering the Coast, North Eastern Kenya and Nairobi. He also founded Masala Communication, a Safaricom dealer with an extensive dealer network across the country. He is also a Director of Colchester Investments Limited, a leading Real Estate Investment and Property Management Company. Abdul holds an MBA (Global) degree from United States International University and a BSc in marketing from University of Bradford. He takes active interest in education and consequently serves on the Board of Abu Huraira group of Schools.
ABDILLAHI, ABDIRAHMAN	Executive Director	Abdillahi has a wide range of experience in raising funds for various projects in East Africa. He holds a Masters in Business Administration (Finance) from Texas A&M University, Commerce and has been a CFA charter holder since 2000. He has worked extensively in the areas of corporate finance structuring and has 20 years of experience in the financial industry in over four countries.

9.4 Investment Committee

The investment committee consists of three members to oversee all decisions regarding investment and divestment for and on behalf of the Kurwitu Ventures. The quorum for a meeting is two members and decisions by the investment committee require support by the majority of the members present.

NAME	BIO PROFILE
HASSAN, A. MOHAMMED	Mohammed Hassan is the Chairman of National Bank of Kenya and a leading advisor on several energy sector transactions. He worked at Dyer and Blair Investment Bank for 14 years (1996-2010) and rose to become the Managing Director in 2007. He initiated and executed some of the largest deals in Sub Sahara Africa including the Safaricom IPO that raised over USD 700 million and the acquisition of the leading stake in Equity Bank by Helios Partners worth USD 170 million. He also led over 30 major transactions in the past 10 years and supervised more deals than anyone in East Africa. Mohammed is a member of the Board of Trustees for Northern Kenya Education Trust; Member of the Board of Trustees of the Kenya Olympic Committee; and Member of the National Steering Committee of NEPAD, Kenya. NEPAD is an African Union agenda to improve political governance in member countries. He is a holder of the Chartered Financial Analyst (“CFA”) charter since 2006 and holds a Bachelor of Commerce degree from the University of Nairobi and a M.Sc. in Finance from the University of Strathclyde.
DR. PETER, ITHONDEKA	Dr. Peter Maina Ithondeka has been awarded the Certificate of Fellowship by the Kenya Veterinary Association Central Kenya Branch and in 2008 the Moran of Burning Spear (MBA) by the President of Kenya for his enormous contributions in veterinary service to the nation. He has also received presidential recognition for his role in Rinderpest eradication in Kenya. He has 33 years working experience in all aspects of veterinary services and is the Director of Veterinary Services, in addition to a OIE Delegate for Kenya responsible for handling all technical issues and administrative issues pertaining to the veterinary services in the country with liaison with other Ministries.
ABDILLAHI, ABDIRAHMAN	Abdillahi has a wide range of experience in raising funds for various projects in East Africa. He holds a Masters in Business Administration (Finance) from Texas A&M University, Commerce and has been a CFA charter holder since 2000. He has worked extensively in the areas of corporate finance structuring and has 20 years of experience in the financial industry in over four countries.

9.5 Investment Team

The investment team currently comprises of two investment professionals and is in the process of recruiting two more members to the team. Each member has substantial relevant investment and regional experience and this team is supported by back office functions including administration, financial control, reporting legal and compliance. Currently the investment team comprises of:

NAME	BIO PROFILE
ABDIRAHMAN, ABDILLAH (Managing Director)	Abdillahi has a wide range of experience in raising funds for various projects in East Africa. He holds a Masters in Business Administration (Finance) from Texas A&M University, Commerce and was granted the Chartered Financial Analyst in 2000. He has worked extensively in the areas of corporate finance structuring and has 20 years of experience in the financial industry in over four countries.
ADEN, ABDIKHANI ALI (Investment Analyst)	Aden has a B.com in Finance and B.sc in Applied Accounting from Strathmore University and Oxford Brookes respectively. He also has Masters of Public Administration majoring in Public Finance from the Maxwell School of Citizenship and Public Affairs, Syracuse University in the US. He has worked in both the Private and Public sectors in areas of development and finance. He has over 5 years of work experience.

Kurwitu Ventures intentionally has a lean structure with the intention of hiring individuals on a project-by-project basis, with deal negotiation, structuring and closure handled primarily by the investment team in conjunction with trusted advisors.

9.5.1 Binding Statement to retain all Senior Management and Proposed Changes

Kurwitu ventures hereto states that all senior management named in this document shall be retained and there is no expected change of the same for the next 12 months following the listing on the NSE. Moreover, Kurwitu Ventures intends to add three more investment professionals within the next six months depending on the business environment

9.6 Sharia Compliance Advisor

Sharia Compliance Advisory Kurwitu is currently structured as a holding company with a low cost structure. In due course, Kurwitu will add a sharia advisory committee to the board to ascertain if the investment structure, purpose, product and funding pass the Sharia test.

The Sharia Compliance Committee will comprise of one to three prominent Islamic Scholars with wide array of experience in business and Islamic Sharia. They will advise and assess whether Kurwitu Ventures' transactions and products are in compliance with Islamic Sharia rules and procedures.

9.7 Shareholders

The following were the subscribers of the Memorandum and Articles of Association of the Company at incorporation:

- Abdirahman Abdillahi; and
- Mohammed A Hassan

The shareholding has since been restructured in preparation for the proposed listing on the GEMS of the NSE as follows;

NAME PERCENTAGE	HOLDING IN KURWITU	BOARD MEMBERSHIP
ABDIRAHMAN ABDILLAHI	51%	YES
MOHAMMED A. HASSAN	27%	YES
ALI DAUD MOHAMED	4%	NO
NOORDIN M HAJI	4%	NO
ANAS IBRAHIM HUSSEIN	4%	NO

Table 20: List of people holding significant shares in the company.

Source: Kurwitu Ventures Limited

Kurwitu Ventures has not experienced any change in its majority shareholding since inception and after the restructuring and the proposed listing will not affect the controlling voting capital.

It is apparent that the largest two shareholders own 78% of the shares of Kurwitu Ventures. Technically the free float is only 22%. The two largest shareholders intend to reduce their holding by at least 8% in the next six months to increase the free float. The largest shareholder, Abdirahman Abdillahi owns 51% of the company and is also the Managing Director. He has the capacity by law to pass an ordinary resolution without seeking approval from the rest of the shareholders. In addition, he can have a special resolution passed with the assistance of only one other shareholder, Mohammed A. Hassan.

There has been no change in the controlling shareholders and trading objectives of the company during the previous three financial years and there will be no change for the next 12 months after the listing on the GEMS. Furthermore, there are no experts

employed on a contingent basis, who own any amount of shares in the company which is material, or who have a material, direct or indirect economic interest in Kurwitu Ventures.

As a sign of commitment to the growth of the company and confidence in the long-term viability of the company, the key shareholders of Kurwitu ventures have committed not to offload more than 25% (fifty percent) of their shareholding for a period of 12 months after the listing.



10.0 ENVIRONMENTAL, SOCIAL AND GOVERNANCE POLICIES

Kurwitu Ventures also focuses on responsible management of Environmental, Social and Governance (“ESG”) issues through its ESG policy that is closely aligned with Kurwitu Ventures’ sharia compliance focus. The policy defines Kurwitu Ventures’ principles, objectives, policies and management systems for sustainable and responsible investments. The policy also includes an exclusion list that specifies businesses and activities that Kurwitu Ventures will not invest in.

10.1 Environmental Factors

Kurwitu Ventures will focus on investments that:

- Minimize adverse impact on the environment;
- Make efficient use of natural resources and protect the environment where possible; and
- Support the reduction of greenhouse gas emissions.

10.2 Social Focus

Kurwitu will focus on investments that:

- Treat all their employees and contractors fairly and that respect their dignity, wellbeing and diversity;
- Provide safe and healthy working conditions for employees and contractors;
- Ensure health and safety of all persons affected by the investment;
- Provide objectivity, consistency and fairness in all dealings with stakeholders of the investment; and
- Recognize and promote the social development impact from the investment.

10.3 Governance Focus

Kurwitu will ensure that its investments exhibit:

- Integrity and honesty in all business dealings; and
- Promote best practice in Corporate Governance

10.3.1 Corporate Governance Practices

Corporate Governance is the means by which the affairs of an institution are directed and managed to ensure corporate accountability and business aptness to achieve an optimal shareholder value, while simultaneously taking into consideration the interests of other stakeholders. It is premised on the principles of integrity, accountability, prudence and openness.

The Board of Directors of Kurwitu Ventures is at the core of the Company’s corporate governance and is ultimately accountable and responsible for the performance and affairs of the Company. Good corporate governance is regarded as critical to the success of the business and the board is unreservedly committed to applying the fundamental principles of good governance -transparency, integrity, accountability and responsibility- in all dealings by, in respect of and on behalf of the company. Kurwitu Ventures has three Board Committees: Audit, Remuneration and Nomination, as shown below:

Committee Name	Members of the Committee	Principle Responsibility of the Committee
Audit Committee	Chairman: Jamal Isaak Members: Mohammed A Hassan Sumayya Hassan Athmani	The audit committee shall, inter alia: (a) Monitor the financial reporting process; (b) Monitor the effectiveness of the company's internal control, internal audit where applicable, and risk management systems; (c) Monitor the statutory audit of the annual and consolidated accounts; (d) Review and monitor the independence of the statutory auditor or audit firm, and in particular the provision of additional services to the Company.
Remuneration:	Chairman: Abdikadir H Mohammed Members: Abdillahi Abdirahman Abdikadir M Haji	The remuneration committee is established to ensure that remuneration arrangements support the strategic aims of the business and enable the recruitment, motivation and retention of senior executives while complying with the requirements of regulatory and governance bodies, satisfying the expectations of shareholders and remaining consistent with the expectations of the wider employee population.
Nomination	Chairman: Abdikadir M Haji Members: Mohammed A Hassan Abdikadir H Mohammed	A nomination committee is focused on evaluating the board of directors of its respective firm and on examining the skills and characteristics that are needed in board candidates.

The Board Committees hold quarterly meetings to deal with Audit, Remuneration, Nomination and any other non-investment issues. The meetings are held at Kurwitu business premises unless otherwise stipulated by the board.

The Board accordingly embraces the principles of good governance as set out in a number of governance frameworks including the Principles for Corporate Governance in Kenya.

The board develops and maintains reporting and meeting procedures for itself and its committees. The frequency of the committee meetings is determined by the individual committee, as stated in the terms of reference for each committee. The quorum necessary for the transaction of the business of the board is chairman and two non-executive directors.

10.3.2 Composition of the Board

The Board includes a fair balance between executive and non-executive directors so that no individual or company of individuals' interests will dominate the board's decision-making process. The following issues are considered in determining the board's composition:

- Attaining a desirable ratio of and balance between the number of executive and non-executive directors;
- Ensuring that the board collectively contains the skills, experience and mix of personalities appropriate to the strategic direction of the Company and necessary to secure its sound performance;
- Experience, knowledge, skills and personal attributes of current and prospective directors in relation to the needs of the Board as a whole; and
- Succession planning to ensure institutional memory is always present in the board.

All members of the Board irrespective of individual expertise, knowledge, executive or non-executive status recognizes that they are collectively responsible to shareholders for the performance of the Company. The termination of an employment contract of an executive director will result ipso facto in the termination of their membership to the Board, unless

the Board determines otherwise.

10.3.3 Responsibility of the Board

The Board specifically exercises leadership, enterprise, integrity and judgment in directing the affairs of the company in order to achieve continued prosperity for the Company and its shareholders. Additionally, the board at all times acts in the best interests of the Company in a manner based on transparency, integrity, accountability and responsibility.

The Board specifically:

- Defines and charts out the Company's vision, mission and values and has ultimate responsibility for the attainment of the Company's objectives;
- Determines the business strategies and plans that underpin the corporate strategy;
- Discusses and approves strategic plans and annual budgets;
- Retains full and effective control over the Company, and monitors management's implementation of the strategic plans and financial objectives as defined by the board;
- Defines levels of materiality, reserving specific powers to itself and delegating other matters with the necessary written authority to management. The board continually monitors the exercise of delegated power by management;
- Ensures that a comprehensive system of policies and procedures is in place and that appropriate governance structures exist to ensure the smooth, efficient and prudent stewardship of the Company;
- Ensures that the business of the Company is managed with a view to ensuring that the Company is ethical in all its dealings and exercises corporate social responsibility;
- Ensures compliance by the Company with all relevant laws, regulations, audit and accounting principles, and such other principles and/or regulations as may be established by the board from time to time;
- Identifies key risks, opportunities and strengths relating to the Company;
- Ensures that the Company's organizational structure and capability are appropriate for implementing the chosen strategies;
- Determines monitoring criteria to be used by the investment committee and the relevant projects

heads;

- Set policies on internal control and obtain regular assurance that the system is functioning effectively and is effective in managing risks;
- Nominates board members who will add value to the board processes and arranges for their induction;
- Appoints the managing director, senior staff, external auditors and other consultants;
- Discusses, agrees and approves annual accounts and reports;
- Communicates key policies and strategy issues to senior management; and
- Identifies all stakeholders and ensures effective communication with shareholders and stakeholders

10.3.4 Exclusion

Kurwitu Ventures will not invest in the following businesses or activities:

- Product or trade in any product or activity that is illegal under Kenyan Laws or banned by Global Conventions and agreements such as: -
 - o Hazardous chemicals, pesticides and wastes;
 - o Ozone depleting substances; and
 - o Endangered or protected wildlife products
- Production of or trade in arms; and
- Gambling, pornography, tobacco, or tobacco related products, alcohol or alcohol related products, pork or pork related products

11.0 RISK ASSESSMENT

Kurwitu Ventures is a Sharia Compliant Investment Vehicle focused on investing in early stage ventures, either green-fields or brownfields and therefore is in a higher risk investment category. Therefore this exposes Kurwitu Ventures to a wide range of risks discussed in this section.

In this regard, implementation of a robust risk management framework becomes increasingly paramount so as to address these challenges in a structured way in order to continually align Kurwitu Ventures' priorities and objectives with the realities on the ground. Thus, the risk management framework instituted by Kurwitu Ventures seeks to align the assessment and management of the said risks to the business opportunities available. The risk policy encompasses the whole spectrum of risks ranging from high-level enterprisewide business risks to individual operational risks.

The assessment of and management of risk in Kurwitu Ventures starts from the assessment of the deal pipeline and evaluation phase, which is extensive and covers assessment of the principle and core risks that cover the entire business process.

Factors, which Kurwitu Ventures believes may be material for the purpose of assessing the market risks associated with an investment, are described below. Kurwitu Ventures believes that the factors described represent the principal risks inherent in investing in Kurwitu ventures. Prospective investors should also internalize the detailed information set out elsewhere in this Listing Statement (including any documents available for inspection) and make individual assessments prior to making any investment decision.

Key risks that would face Kurwitu Ventures and related risk mitigation measures are included below:

Origination Risks

Kurwitu Ventures is in the process of transitioning into an investment holding company adhering to Islamic principles. Its success will depend on sourcing and

implementing viable sharia compliant investments. There is no guarantee that the company will be able to source these investments. Many of Kurwitu Ventures investment will require the co-operation of external partners who may not agree to work with Kurwitu Ventures' investment policies and hence may choose not to work with Kurwitu Ventures.

The Board of Directors of Kurwitu Ventures plan to mitigate this risk by tapping into their broad network of former and current colleagues, associates, friends and acquaintances. Members of the Board have a diverse background and sterling reputation to reduce the impact of origination risk.

Litigation Risk

Kurwitu Ventures will be exposed to the risk of becoming involved in litigation with third parties through its investments in various opportunities especially where Kurwitu Ventures exercises control over an investee company's direction.

The Board of Directors of Kurwitu Ventures intend to reduce the risk by thoroughly screening each investment opportunity and adhering to high standards of the company's environmental, social and governance policies which are detailed in section 11 of this listing statement.

Funding Risk

The success of Kurwitu Ventures is largely tied to raising funds externally to invest in viable investments. There is no guarantee that the company will be successful in raising required funds from the investing public.

This risk is difficult to mitigate as capital markets tend to be influenced by various external factors beyond the control of any individual, corporate or even Government body. Investor sentiment, external and internal monetary and fiscal policies play a major role in determining the optimum timing of raising funds through the capital markets. However the Board of Directors of Kurwitu intend to introduce products that

have high latent demand and offer exciting investment returns to mitigate this risk.

Strategic Risk

The investment strategy focusing on green-fields and brown-fields targets under a sharia compliant structure is a pioneer strategy that has not been tried and tested in the country.

The Board of Directors intend to mitigate this risk by limiting the number of projects to be implemented and carrying out extensive investment screening and reference to best global practices.

Reputation Risk

Kurwitu Ventures wishes to develop a reputation as an Islamic Compliant Investor. It is a reputation that may attract negative media attention due to negative perceptions perpetuated by the media that have tarred the entire religion of Islam in the eyes of the general public.

The Board of Directors of Kurwitu Ventures is made up of highly regarded public figures who have sound reputation and whose positive image would mitigate any negative perception.

Backlash Risk

Islamic law or Sharia may have certain canons that may be interpreted differently by various religious scholars. Kurwitu Ventures may introduce some creative and innovative products that may aggravate some scholars. The “negative fatwa” may lead to a backlash from some Muslim investors.

The Board of Directors of Kurwitu Ventures intend to get “buy-in” from reputable Islamic scholars before introducing any product to the market to mitigate possible backlash risk.

Competition Risk

Kurwitu may face competition in two major ways:

- Other investment companies or individuals may compete with the company in getting approval from joint venture partners; or
- Even when Kurwitu has set up the operations on its own or with joint venture partners, the venture may face severe competition from the existing

market participants

Competition is normal in every business venture. The Board of Directors of Kurwitu Ventures would provide support to ensure that the venture is able to defend its market share and generate good returns.

Liquidity and Credit Risk

Liquidity risk may arise where Kurwitu Ventures has limited access to cash due to inability to liquidate investment expeditiously. Credit risk would occur where debtors of Kurwitu Ventures’ investments default. Therefore credit risk may result to a liquidity challenge or aggravate an existing liquidity problem.

Thorough investment screening and conservative budgets should mitigate the risk above.

Human Resource Risk

The Company may invest in ventures with low supply of specialized labor. It may end up increasing costs of production or resorting to lower skilled employees who may constrain the development of the venture. Training and human resource development would be carried out at all levels to enable employee growth and provide the skills needed by the company as it expands.

Political Risk

Kurwitu intends to invest largely in Kenya and possibly in the greater East Africa Region. Political stability in these countries is paramount for the company to achieve its investment goals. Political instability in any key market would harm the company’s potential in achieving its investment goals

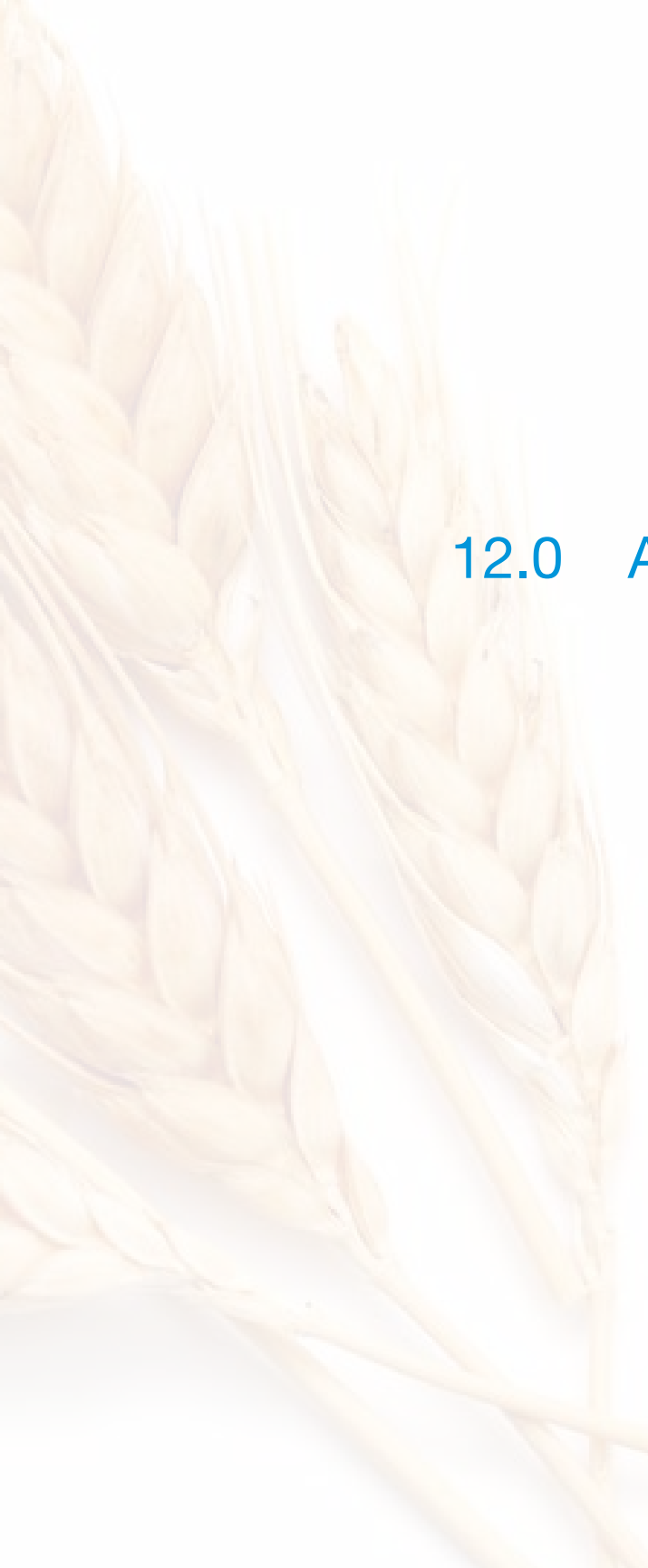
The above listed risks are not exhaustive and are only aimed at directing investors in making decisions that are informed after analyzing the risk-return profile of Kurwitu Ventures. Potential investors are encouraged to discuss with the Board and Management of Kurwitu Ventures any additional risks that they may perceive and ask any questions they may have.

The ultimate responsibility for risk management in an organization rests in the hands of the Board of Directors. The Board of Directors should:

- Be aware of the most significant risks facing the

- 
- organization;
 - Know the possible effects on shareholder value of deviations to expected performance ranges;
 - Ensure appropriate levels of risk awareness throughout the organization;
 - Be aware of how the organization will manage a crisis;
 - Know the importance of shareholder confidence in an organization;
 - Know how to manage communication with the investor community where applicable;
 - Be assured that the risk management processes are working effectively; and
 - Publish a clear risk management policy covering the underlying risk management philosophy and the objectives of the policy.





12.0 APPENDICES

Appendix 1: Legal Opinion

Our Ref: MG/GEN-O/2013

The Directors
Kurwitu Ventures Limited,
P.O. Box 105028-00101
NAIROBI

Dear Sirs,

RE: LEGAL OPINION IN RESPECT OF LISTING BY INTRODUCTION

We act as legal advisers to Kurwitu Ventures Limited ("the Company") in relation to the proposed listing of its shares in the Growth Enterprise Markets Segment ("GEMS") of the Nairobi Securities Exchange ("NSE") ("the Listing").

We are Advocates of the High Court of Kenya, practicing and qualified as such to practice in Kenya, and to advise upon the laws of Kenya.

This legal opinion ("this Opinion") is given in relation to the Listing.

We have acted as the Legal Advisors in the Listing and have this Opinion for inclusion in the Listing Statement. Unless otherwise stated or the context otherwise requires, words and terms defined in the Listing Statement dated 01 September 2014 in relation to the Listing bear the same meaning in this Opinion.

This Opinion is limited to Kenyan Law as applied in the Courts of Kenya and as of the date of the Listing Statement and or the date of the Opinion and to matters of fact prevailing as of the date of this Opinion.

1. DOCUMENTS

For this Opinion we have examined originals or copies certified to our satisfaction of the following documents:

- 1.1. The certificate of incorporation of the Company, and its memorandum and articles of association in force as at the date of the Listing Statement and or this Opinion;
- 1.2. The Listing Statement;
- 1.3. The Company's statutory books;
- 1.4. Documents filed by the Company with the Registrar of Companies;
- 1.5. Title documents of immovable property in the name of the Company;
- 1.6. Audited accounts of the Company for the last three years;
- 1.7. Other documents and or records we have considered necessary or appropriate for the purposes of this Opinion in respect of the Company.

2. ASSUMPTIONS

For the purposes of this opinion we have assumed:

2.1. Authenticity documents and copies

The authenticity and completeness of all documents submitted as originals, the conformity with the original documents of all documents submitted as copies and the authenticity of the originals of such latter documents.

2.2. Accuracy of information supplied All information contained in the Listing Statement and all information supplied to us by the Company and by its officers is true, accurate and up to date.

2.3. Signatures

The genuineness of all signatures on all documents

2.4. Factual matters

With respect to all matters of fact, we have relied on the representations of the officers and agents and or advisors of the Company and assume that its true in all material respects.

3. OPINION

We are of the Opinion, based on the information made available to us by the Company, and subject to (i) the foregoing, (ii) section 2 of this Opinion, (iii) any matters set out in the Listing Statement, (iv) any matter not disclosed to us:

3.1. The Status of the company

- 3.1.1. Company is a public limited liability company duly registered under the Companies Act (Cap 486 of the laws of Kenya) ("the Companies Act") and bearing Registration Number C128146
- 3.1.2. The disclosure made in the Listing Statement listing the shareholders of the Company is correct
- 3.1.3. The Registered Office of the Company is African Alliance YMCA Ground Floor, State House Crescent Road
- 3.1.4. The Company has the power and authority to list in the Nairobi Securities Exchange by way of introduction having obtained the consent of the Board of Directors, the shareholders and the Nairobi Securities Exchange.
- 3.1.5. The Company has, at the date hereof, a Board of Directors consisting of the following individuals
 - Abdikadir Hussein Mohamed
 - Mohamed Abdirahman Hassan
 - Sumayya Hassan Athmani
 - Jamal Isaak Ibrahim
 - Abdikadir Mohammed Haji
 - Abdirahman Abdillahi
- 3.1.6. The Company Secretary of the Company is Morris Irungu Kariuki P.O BOX. 100803 – 00101 Nairobi Kenya.
- 3.1.7. The Company maintains its statutory books at its registered office.

3.2. Licenses and Consents

- 3.2.1. All authorizations, approvals, consents, licenses, exemptions, filings or registrations of or with any government or public bodies or authorities of or in Kenya required in connection with the

business of the Company have been obtained in proper form, and are in full force and effect.

3.3. Share capital

- 3.3.1. The authorized share capital of the Company is Kenya Shillings Twelve Million Five Hundred (KES. 12,500,000/=) divided into One Hundred and twenty five Thousand (125,000) ordinary shares of Kenya Shillings One Hundred (KES.100/=) each.
- 3.3.2. The issued share capital of the Company is Kenya Shillings Ten Million two hundred and twenty seven thousand two hundred (KES. 10,227,200/=) divided into One Hundred and Two Thousand, Two Hundred and Seventy Two (102,272) ordinary shares of Kenya Shillings One Hundred (KES.100/=) each.
- 3.3.3. The existing capital of the Company is in conformity with applicable laws and has received all necessary authorization. There are no proposed changes to the existing capital of the Company.

3.4. Ownership of Assets

- 3.4.1. The Company owns the following properties
 - LAMU/HINDI MAGOGONI/599
 - LAMU/HINDI MAGOGONI/782
 - LAMU/HINDI MAGOGONI/783
- 3.4.2. The titles are free from any encumbrances and have not been affected by the recent revocation of title in the wider Lamu County

3.5. Material Litigation

- 3.5.1. The Company is not a party to, and has not been threatened with, any material litigation that has not been disclosed in the Listing Statement.

3.6. Material Contracts

- 3.6.1. Save for the contracts entered into in the ordinary course of business, the Company has not entered into any material contracts, which are not disclosed in the Listing Statement.
- 3.6.2. As at the date of this Opinion and or the Listing Statement, the Company is not in breach of any material contractual obligations except where disclosed in the Listing Statement.
- 3.6.3. Excepting contracts with advisors engaged by the Company for the Listing, there are no contracts with any bank, brokers or any other person in respect to the Listing.]

3.7. Material Borrowing

- 3.7.1. The Company has no existing facilities.
- 3.7.2. The borrowing powers of the Company have not been exceeded.

3.8. Further Opinion

Based and subject as aforesaid, and without prejudice to the generality of the foregoing. We are also of the opinion that:

- 3.8.1. The Listing Statement has been dated in accordance with Section 43(4) of the Companies Act.
- 3.8.2. A copy of the Listing Statement, together with the documents required under Section 43 of the Companies Act, have been delivered to the Registrar of Companies at Nairobi for Registration in accordance with Section 43(a) of the Companies Act, duly signed by every person named in the Listing Statement as a Director of the Company or by their agents duly authorized in writing, and a statement to such effect appears on the face of the Listing Statement in accordance with Section 43(3) of the Companies Act.
- 3.8.3. Application has been duly made to, and permission duly granted by the NSE.

4. CONSENT

This Listing Statement contains statements made by Obwanga and Associates (Certified Public Accountants of Kenya) and by ourselves, all of whom are experts for the purposes of Section 42(1) of the Companies. In accordance with Section 42(1) of the Companies Act, we consent to the inclusion of our legal opinion in the Listing Statement to be issued for the Listing in the form and context in which it appears. We confirm that we have given and have not before the delivery of the Listing Statement for registration withdrawn, our consent to its issue and the inclusion of our legal opinion herein.

5. RESERVATIONS

- 5.1. We express no opinion as to any document other than the material documents expressly referred to above.
- 5.2. We express no opinion as to any law other than Kenyan law in force, and as interpreted, at the date of this Opinion.
- 5.3. We express no opinion as to any matter not stated herein.

Yours faithfully



Mahmoud & Gitau Advocates



Appendix 2: Reporting Accountant

INTRODUCTION

We are pleased to present the audited financial statements for Kurwitu Ventures LTD Limited for the three and Half years to 31ST June 2014 in accordance with the requirements of Section 6 and Part A of the Third Schedule to the Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations, 2002.

The directors of the group are responsible for the preparation of the Listing Statement and all the information contained therein and for the financial statements and financial information to which our Accountants' Report relates. Our responsibility is to audit, review and compile the financial information set out in our report from the financial statements.

Other than as stated in our Accountant's Report, we have not audited any other information. The financial statements of the company have received unqualified audit reports throughout the period covered by our Accountant's Report. The financial information set out in this report is compiled by reference to the audited financial statements of the group for the three and Half years to 30 June 2014 in accordance with the International Standard on Related Services (ISRS) 4410 on Engagements to Compile Financial Statements.

We have carried out a review of the audited financial statements of the company for the three and half years to 30th June 2014. Our review was carried out in accordance with the International Standard on Review Engagement (ISRE) 2400 on Engagements to Review Financial Statements. This Standard requires that we plan and perform the review to obtain moderate assurance as to whether the financial statements are free from material misstatement. The audit and review was carried out by the same audit firm but using different personnel and staff for the work.

A review is limited primarily to enquiries of the management, previous auditors and analytical procedures applied to financial data, and thus provides less assurance than an audit. We have made enquiries of the management about the operations of the group and its accounting practices and principles. We have audited the financial statements for the three years ended 30 June 2014. Our audit was conducted in accordance with International Standards on Auditing. These standards require that we comply with ethical requirements, plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free from material misstatement. An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Where necessary we have adjusted the financial statement to conform to changes in accounting policies applied in the latest year.

OPINION

Based on our review, nothing has come to our attention that causes us to believe that the audited financial statements of Kurwitu Ventures LTD for the three and Half years to 30th June 2014 do not give a true and fair view in accordance with International Financial Reporting Standards.

CONSENT

We consent to the inclusion of this report in the Listing Statement to be issued on or about 5th of August 2014 in the form and context in which it appears.

NOTES

The principle accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented unless otherwise stated.

Basis of preparation

The financial statements are prepared in compliance with International Financial Reporting Standards (IFRS). The financial statements are prepared under the historical cost basis of accounting and presented in the functional currency Kenya shillings (Kshs) rounded to the nearest shilling.

The preparation of financial statements in conformity with IFRS requires the use of estimates and assumptions. It also requires management to exercise its judgment in the process of applying the company's accounting policies. The areas involving a higher degree of judgment and complexity, or where assumptions and estimates are significant to the financial statements are disclosed in note 3.

Adoption of new and revised standards

In 2005 several new and revised standards became effective for the first time and have been adopted by the company where relevant. The adoption of these new and revised standards had no material effect on the company's accounting policies or disclosures except as follows: -

- International Accounting Standard (IAS) 1 has required the disclosure of critical accounting estimates and judgment's.
- International Accounting Standard (IAS) 19 (Employee Benefits) has required additional disclosures on the nature of benefits accorded to staff.

Property, plant, equipment and depreciation

Property, plant and equipment are initially stated at cost less accumulated depreciation and any impairment in value. Subsequent costs are included in the assets carrying amount or recognized as a separate asset as appropriate, only where it is probable that future economic benefits associated with the item will flow to the company and the cost of the item can be measured reliably. All other repairs and maintenance costs are charged to the profit and loss account in the financial period in which they are incurred.

Depreciation is calculated on the reducing balance basis, at annual rates estimated to write off carrying values of the property, plant and equipment over their expected useful lives.

The rates in use are:

Fixtures, fittings and equipment	12.50%
Motor vehicles	25.00%
Computers	30.00%

The carrying values of property, plant and equipment are reviewed for impairment when events or changes in circumstances indicate that the carrying values may not be recoverable. An impairment loss is recognized for the amount by which the assets carrying amount exceeds its recoverable amount. The recoverable amount is the higher of the assets fair value less costs to sell and value in use.

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amounts and are taken into account in determining disposal profit/(loss). On disposal of revalued assets, amounts in the revaluation surplus relating to the asset are translated to related earnings.

If any such indications exist and where the carrying values exceed the recoverable amount, property, plant and equipment are written down to their recoverable amounts.

Revenue Recognition

Revenue is recognized to the extent that is probable that the economic benefits will flow to the company and the revenue can be reliably measured. The following specific recognition criteria must be met before revenue is recognized.

Other employee entitlements

The company has no policies relating to employee entitlements to gratuity and long service awards. Employees take their leave in the year it is due. Any leave not taken up when due is forfeited

Financial instruments

Financial instruments carried on the balance sheet include cash and bank balances, trade and other receivables, trade and other payables and borrowings. The particular recognition methods adopted are disclosed in the individual policy statements associated with each item.

Trade and other receivables

Trade and other receivables are recognized at original invoice amount less an allowance for any uncollectible amounts. Specific provision is made for all known doubtful debts. Bad debts are written off when all reasonable steps to recover them have been taken without success.

Trade and other payables

Trade and other payables are stated at their nominal value.

Cash and cash equivalents

Cash and cash equivalents comprise cash in hand and at bank. For the purpose of the cash flow statement, cash and cash equivalents comprise of cash and cash equivalents as defined above, net of outstanding bank overdraft.

Provisions

A provision is recognized in the balance sheet when the company has a present legal or constructive obligation as a result of past event and it is more likely than no outflow of economic benefits will be required to settle the obligation and it can be reliably estimated.

Contingent liabilities

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is uncertain or cannot be reliably measured. Contingent liabilities are not recognized but are disclosed unless they are remote.

Related parties

In the normal case of business the company has entered into transactions with related parties. The related party transactions are at arms length.

Taxation

Current taxation is provided for on the basis of the results for the year as shown in the financial statements, adjusted in accordance with the tax legislation. Deferred taxation is provided using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Deferred tax assets are recognized for all deductible temporary differences, carry forward of unused tax losses and unused tax credits to the extent that it is probable that future taxable profits will be available against which the deductible temporary differences, unused tax losses and the unused tax credits can be utilized.

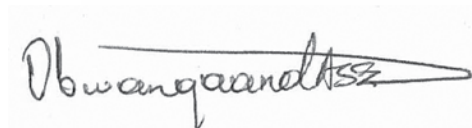
The carrying amount of the deferred tax assets and liabilities is reviewed at each balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income asset to be utilized.

Interest bearing borrowings

All borrowings are initially recognized at cost, being the fair value of the consideration received net of issue costs associated with the borrowings. After initial recognition, interest-bearing borrowings are subsequently measured at amortized costs using the effective interest rate method. Amortized costs are calculated by taking into account any issue costs, and any discount or premium on settlement. Gains and losses are recognized in the profit and loss account when the liabilities are derecognized or impaired, as well as through the amortization process.

FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The company's activities expose it to a variety of financial risks, including credit risks and interest rates. The company's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimize potential adverse effects on its financial performance. The company has policies in place to ensure that sales are made to customers with an appropriate credit history.



STATEMENT OF PROFIT AND LOSS AND OTHER COMPREHENSIVE INCOMES

	NOTES	YR 2011	YR 2012	YR 2013	½ YR 2014
TURNOVER					
		1,819,008	1,255,000	-	-
		1,819,008	1,255,000	-	-
EXPENSES					
Direct Costs	1)	(607,150)	(415,000)	(622,900)	(507,411)
Gross Profit		1,211,858	840,000	(622,900)	(507,411)
OTHER INCOME					
Profit / (Loss) on Disposal		-	-	(274,219)	-
Operating Income		1,211,858	840,000	(897,119)	(507,411)
OTHER EXPENDITURE					
Establishment Expenses	2)	(527,630)	(371,581)	(38,561)	(213,556)
Administration Expenses	3)	(563,617)	(378,653)	(222,700)	(458,349)
Total		(1,091,247)	(750,234)	(261,261)	(671,905)
Operating Profit / (Loss)		120,611	89,766	(1,158,380)	(1,179,316)
Finance Costs	4)	(8,812)	(15,450)	(6,500)	(5,726)
Net Profit / (Loss) before Tax		111,799	74,316	(1,164,880)	(1,185,042)
Deferred Tax /(Current Tax)	5,6)	(33,540)	(22,295)	349,464	355,513
Net Profit / (Loss) After Tax		78,259	52,021	(815,416)	(829,529)
Earnings Per Share		Kshs 78.3	Kshs 52	Kshs -62.4	Kshs -10.6
Shares Outstanding		1,000	1,000	78,400	102,272

STATEMENT OF FINANCIAL POSITION

	NOTES	YR 2011	YR 2012	YR 2013	½ YR 2014
ASSETS					
<i>Non Current Assets</i>					
Plant property and Equipment	8)	534,365	414,888	118,218	284,122
Free hold Land	8)	-	-	102,000,000	102,000,000
		534,365	414,888	102,118,218	102,284,122
<i>Current Assets</i>					
Cash and Cash Equivalents	9)	96,032	72,450	5,031,618	8,897,892
Receivables and tax advance	10)	106,512	85,450	349,464	704,977
Directors Current account	11)	3,614,106	3,288,731	-	-
		3,816,650	3,446,631	5,381,082	9,602,869
TOTAL ASSETS		4,351,015	3,861,519	107,499,300	111,886,991
LIABILITIES AND SHAREHOLDERS EQUITY					
<i>Current Liabilities</i>					
Trade Payables	12)	965,120	415,000	70,411	100,411
Tax Payables	6)	13,680	22,283	-	-
		978,800	437,283	70,411	100,411
<i>Non Current Liabilities</i>		-	-	-	-
TOTAL LIABILITIES		978,800	437,283	70,411	100,411
SHARE HOLDERS FUNDS					
Paid Up Share Capital Account (102,272@100)	13)	100,000	100,000	7,840,000	10,227,200
Directors Account		-	-	-	187,220
Share premium Account	14)	-	-	97,080,070	99,692,870
Reserves	15)	3,272,215	3,324,236	2,508,819	1,679,290
Shareholders funds		3,372,215	3,424,236	107,428,889	111,786,580
TOTAL LIABILITIES AND SHAREHOLDERS EQUITY		4,351,015	3,861,519	107,499,300	111,886,991

STATEMENT OF CASHFLOW

	YR 2011	YR 2012	YR 2013	½ YR 2014
Cash flow from Operating Activities				
Net profit and loss before Tax	111,799	74,316	(1,164,880)	(1,185,042)
Adjustment				
Depreciation	157,354	119,465	22,461	34,096
	269,153	193,781	(1,142,419)	(1,150,946)
Loss on Disposal	-	-	274,219	-
Cash flow before working Capital Changes	269,153	193,781	(868,200)	(1,150,946)
Increase/Decrease trade receivables	2,740,012	21,062	85,450	-
Increase/decrease trade payables	672,546	(550,120)	(344,588)	30,000
Cash from Operations	3,681,711	(335,277)	(1,127,338)	(1,120,946)
Tax payments	(416,000)	(13,680)	(22,295)	-
Net cash flow generated from operating activities	3,265,711	(348,957)	(1,149,633)	(1,120,946)
Cash flow from Investing Activities				
Purchase of Intangible and tangible non-current assets	-	-	(102,000,000)	(200,000)
Directors Contribution	-	-	-	187,220
Net cash flow from Investing Activities	-	-	(102,000,000)	(12,780)
Cash flow from Financing Activities				
Share premium account	-	-	102,000,000	2,612,800
Share capital injection	-	-	7,740,000	2,387,200
Drawing Changes	(3,614,106)	325,375	(1,631,199)	-
Net Cash flow from Financing Activities	(3,614,106)	325,375	108,108,801	5,000,000
NET MOVEMENT IN CASH AND CASH EQUIVALENTS	(348,395)	(23,582)	4,959,168	3,866,274
Cash and Cash Equivalents at the end of the YEAR				
beginning of the year	444,427	96,032	72,450	5,031,618
Cash and Cash Equivalent at the END of year	96,032	72,450	5,031,618	8,897,892

STATEMENT OF CHANGES OF EQUITY

	YR 2011	YR 2012	YR 2013	½ YR 2014
Share capital	100,000	100,000	100,000	7,840,000
Share premium Account	-	-	-	97,080,070
Retained Earnings/RESERVES	3,193,955	3,272,214	3,324,235	2,508,819

Changes during the YEAR

Share Capital Additions	-	-	7,740,000	2,387,200
Directors Contribution	-	-	-	187,220
Profit and loss	78,259	52,021	(815,416)	(829,529)
Share Premium Account	-	-	97,080,070	2,612,800
	3,372,214	3,424,235	107,428,889	111,786,580

NOTES TO FINANCIAL REPORTS

	YR 2011	YR 2012	YR 2013	½ YR 2014
1) Direct Costs				
Travel and Accommodation	513,000	415,000	142,400	125,411
Professional Fees	94,150	-	404,000	382,000
Rates	-	-	76,500	-
Total	607,150	415,000	622,900	507,411
2) Establishment Costs				
Entertainment Expenses	156,114	118,500	16,500	3,284
Motor Vehicle Expenses	166,996	86,450	-	-
Insurance Expenses	47,166	47,166	-	-
Website Development	-	-	-	60,000
Conference and Meeting Expenses	-	-	-	116,176
Depreciation Expenses	157,354	119,465	22,461	34,096
Total	527,630	371,581	38,961	213,556
3) Administration Costs				
Audit and Accounting Fees	31,000	20,000	40,000	20,000
Newspapers and Periodicals	8,142	4,152	-	46,483
Postage and Telephone	27,315	32,451	34,700	18,000
Printing and Stationery	14,516	8,450	-	11,930
Rent and Rates	291,150	291,150	132,000	132,000
Utilities	19,176	22,450	16,000	-
Training Expenses	48,000	-	-	-
Donations	2,800	-	-	-
Legal Fees	-	-	-	50,000
Medical Expenses	121,518	-	-	179,936
Total	563,617	378,653	222,700	458,349
4) Finance Costs				
Bank Charges	8,812	15,450	6,500	5,726
Total	8,812	15,450	6,500	5,726
5) Tax Computation				
Balance brought forward	395,000	12,540	21,155	(349,464)
Charge for the year	33,540	22,295	(349,464)	(355,513)
Payment during the year	(416,000)	(13,680)	(22,155)	-
Tax Charge / (Credit)	12,540	21,155	(349,464)	(704,977)

6) Deferred Tax

Deferred tax is calculated, in full, on all temporary timing differences under the liability method using a principal tax rate of 30%. The movement on the deferred tax account is as follows:

Loss for the Year	-	-	1,164,880	1,185,042
Deferred Tax on Losses	-	-	349,464	355,513

7) Property, Plant and Equipment

All property, plant and equipment are initially recorded at cost. Land, Buildings, plant, machinery, furniture and fittings are subsequently shown at market value, based on regular valuations by external independent valuers, less subsequent depreciation. All other property, plant and equipment are stated at historical cost less depreciation and any accumulated impairment losses.

Increases in the carrying amount arising on revaluation are credited to a revaluation reserve. Decreases that offset previous increases of the same asset are charged against the revaluation reserve; all other decreases are charged to the income statement.

Each year, excess depreciation representing the additional depreciation following revaluations of property, plant and equipment over depreciation based on historical, is transferred from revaluation surplus to revenue reserve

	Fixtures, Fitting and Equipment	Motor vehicle	Computers
Depreciations (Reducing Balance Basis) and also in conformity with the wear and tear allowance	12%	25%	30%

Property, Plant and Equipment

	Motor Vehicles	Depreciation Motor Vehicles	Computers	Depreciation Computers	Furniture and Fittings	Depreciation Furniture and Fittings	Totals
Net Book Value beginning 2011	487,500	-	56,868	-	147,350	-	691,718
Depreciation 2011	-	121,875	-	17,060	-	18,419	157,354
Net book value beginning 2012	365,625	-	39,808	-	128,931	-	534,364
Depreciation 2012	-	91,406	-	11,942	-	16,116	119,465
Net Book Value beginning 2013	274,219	-	27,865	-	112,815	-	414,899
Depreciation 2013	-	-	-	8,359	-	14,102	22,462
Net Book value beginning 2014	-	-	19,506	-	98,712	-	118,218
Additions	200,000	-	-	-	-	-	200,000
½ YR Depreciation 2014	-	25,000	-	2,926	-	6,170	34,096
Net Book value beginning 1.7.2014	175,000	-	16,580	-	92,542	-	284,122

Land - Freehold: 2013

During the year 2013, the company acquired property in Lamu: Lamu/Hindi Magongoni and Lamu/Lake Kenyatta for a total 102,000,000 and the property was revalued on 6th of September 2013 .The revaluation was done by Knight Frank Valuers LTD.

	YR 2011	YR 201	YR 2013	½ YR 2014
8) Cash and Bank Equivalent				
Bank Account (Kshs)	96,032	72,450	3,306,062	7,172,336
Bank Account (Usd)	-	-	1,725,556	1,725,556
Closing Balance	96,032	72,450	5,031,618	8,897,892

The Company's cash and bank balances are held with a major Kenyan financial institution and, insofar as the directors are able to measure any credit risk to these assets, it is deemed to be limited. The carrying amounts of the company's cash and cash equivalents are denominated in Kenya shillings and US Dollar.

9) Accounts Receivables				
Trade Receivables	106,512	85,450	-	-
Deferred Tax	-	-	349,464	704,977
Closing Balance	106,512	85,450	349,464	704,977

In the opinion of the directors, the carrying amounts of trade and other payables approximate to their fair value. The carrying amounts of the group's trade and other payables are denominated in Kenya shillings.

10) Directors Current Account				
Opening Balance	-	3,614,106	3,288,731	-
Drawing during the year or (balances for paid up capital)	3,614,106	-	2,592,701	-
Payment during year	-	(325,375.00)	(961,502)	(187,220)
Transfers to Share Premium	-	-	(4,919,930)	-
Closing Balance	3,614,106	3,288,731	-	(187,220)

11) Trade Payables				
Trade Payables (Suppliers)	934,120	395,000	30,411	60,411
Audit Fees	31,000	20,000	40,000	40,000
Closing Balance	965,120	415,000	70,411	100,411

In the opinion of the directors, the carrying amounts of trade and other payables approximate to their fair value. The carrying amounts of the group's trade and other payables are denominated in Kenya shillings.

12) Share Capital Account				
Opening Balance (78,400 shares @ 100 each)	100,000	100,000	100,000	7,840,000
(RE-Purchase) or Issuance of Shares (23,872 shares @ 100 each)	-	-	7,740,000	2,387,200
Closing Balance	100,000	100,000	7,840,000	10,227,200

The issued and paid up share capital of the group was increased on 12h June 2014 from 100,000 to 102,272 Shares by the issuance 25,000 additional shares. Of the additional shares, only 2,272 shares were fully paid up for and the balance of 22,728 shares were allotted and subscribed not paid up for.

	YR 2011	YR 201	YR 2013	½ YR 2014
13) Additional Capital Injection				
Opening Balance	-	-	-	97,080,070
Injection	-	-	102,000,000	2,612,800
Less Directors Current Account	(3,614,106)	(3,288,731)	(4,919,930)	-
Closing Balance	(3,614,106)	(3,288,731)	97,080,070	99,692,870

14) Reserve Account				
Opening Balance	3,193,955	3,272,214	3,324,235	2,159,355
Profit for the year	78,259	52,021	(1,164,880)	(480,065)
Closing Balance	3,272,214	3,324,235	2,159,355	1,679,290

15) Incorporation

Kurwitu Ventures Limited is incorporated in Kenya under the Companies Act as a public limited liability Company and is domiciled in Kenya.

16) Presentation Currency

The financial statements are presented in Kenya Shillings (KSH).



Listing Statement

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